

**SUMMER INTERNSHIP REPORT ON
RISK ANALYSIS AT FEDBANK FINANCIAL SERVICES LTD**

FY 2025-26 COMPANY-DATA FOCUS

Submitted in partial fulfilment for the award of the degree of

**MASTER OF MANAGEMENT STUDIES
FINANCE**

UNIVERSITY OF MUMBAI

Submitted by

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2026-2027

Under the Guidance of

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**DES'S NAVINCHANDRA MEHTA INSTITUTE OF TECHNOLOGY
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CERTIFICATE

DRAFT FOR INSTITUTIONAL VERIFICATION — SIGNATURES TO BE COMPLETED

This is to certify that the summer internship project report titled “Risk Analysis at Fedbank Financial Services Ltd” submitted by Dattaguru Patil, Roll No. M16144, student of S.Y. MMS (SYMMS), in partial fulfilment of the requirements for the MMS degree of the University of Mumbai, records a study of the internship work stated as Risk Analyst at Fedbank Financial Services Ltd from 4 April 2026 to 3 July 2026. The report combines student-supplied internship particulars with analysis of the company’s public disclosures and regulatory publications. The institution and project guide should review and authenticate this certificate wording before signature.

COLLEGE STAMP
(if required)

Dr. Rasika Mallya — Director

Dr. Rahul N. Wadekar — Project Guide

External Examiner: _____

FEDBANK FINANCIAL SERVICES LTD

INTERNSHIP PARTICULARS

STUDENT-PREPARED SUMMARY — NOT AN EMPLOYER-ISSUED CERTIFICATE

Student: Dattaguru Patil

Programme: S.Y. MMS (SYMMS)

Roll number: M16144

Organisation: Fedbank Financial Services Ltd

Role: Risk Analyst

Internship period: 4 April 2026 to 3 July 2026

Stated workstreams

- Monthly preparation of “Graphs & ever Graphs” (the second term is unresolved; see p.64).
- Quarterly preparation support for the Risk Management Committee (RMC).
- Monthly risk paper preparation and portfolio commentary.
- Risk-policy trigger versus actual-performance monitoring.
- Bounce analysis using approved presentment and return-code data.

This page records information supplied by the student. It does not certify employment, performance or completion on behalf of Fedbank Financial Services Ltd. Attach an original employer-issued certificate if required by the institute.

DECLARATION

I hereby declare that this project report, submitted in partial fulfilment of the requirements for the award of Master of Management Studies (MMS) of the University of Mumbai, is my academic work. It is based on the internship particulars stated by me and on the public company disclosures and RBI publications identified in the bibliography. The analysis does not reproduce confidential borrower records, internal Fedfina policy thresholds or unpublished committee material. It has not been submitted to another University or Institute for the award of any degree, diploma or certificate. Any figures, calculations and interpretations derived from company disclosures are identified as such, and limitations are stated. I will verify all student, institutional and internship details before final submission.

Name: Dattaguru Patil

Roll No.: M16144

Signature: _____

Date: _____

ACKNOWLEDGEMENT

This project has been a valuable opportunity to connect management studies with the practical discipline of risk analysis. I am grateful to my project guide, Dr. Rahul N. Wadekar, and to the faculty and staff of DES's Navinchandra Mehta Institute of Technology and Development for their guidance and academic support. I thank Fedbank Financial Services Ltd and the colleagues who supported my Risk Analyst internship and introduced me to monthly portfolio reporting, quarterly RMC preparation, policy monitoring and bounce analysis. I also acknowledge the reporting teams whose annual reports made the company's public disclosures available for this study. I am thankful to my family and friends for their encouragement. Any errors or interpretations in this academic report remain my responsibility.

EXECUTIVE SUMMARY

Summer internship training connects management concepts with workplace analysis. This project, “Risk Analysis at Fedbank Financial Services Ltd”, studies the principal risks of a retail-lending NBFC and the workstreams stated for my Risk Analyst internship from 4 April to 3 July 2026.

The report focuses on FY2025–26, year ended 31 March 2026, and uses the FY2023–24 and FY2024–25 annual reports for historical context. Fedfina reported AUM of ₹20,153 crore, secured AUM of 98.9%, GNPA of 1.9%, NNPA of 1.3%, credit cost of 0.8%, PAT of ₹343.6 crore, ROA of 2.4% and ROE of 12.6%. Gold AUM reached ₹10,352 crore and the branch network stood at 757 across 17 states/UTs. These figures are company disclosures, not internal monthly internship results.

Sector context uses the RBI Financial Stability Report, June 2026: NBFC credit growth moderated to 16.6% year on year in the Upper- and Middle-Layer sample. RBI stress results are sector-wide hypothetical scenarios, not Fedfina actuals. Fedfina's Q1 FY27 results for the quarter ended 30 June were published on 15 July, after the internship ended; selected results are shown only as post-internship context, not internship observations.

The analysis reviews credit and collateral risk, asset quality, capital, funding, liquidity and maturity, interest-rate sensitivity, operations, cyber risk and customer conduct. It identifies FY26 growth and secured-mix expansion as constructive, while recommending close follow-up on ST LAP vintages, Gold custody/LTV, collections sustainability, longer-tenor liquidity, funding repricing, NNPA and reserve coverage.

The stated tasks include monthly graph preparation, the unresolved phrase “Graphs & ever Graphs”, quarterly RMC preparation, a monthly risk paper, policy triggers versus actuals and bounce analysis. The meaning of “ever” is not assumed; EWS is only a possible interpretation and requires supervisor confirmation. No unpublished policy limits, borrower records, bounce statistics or RMC material were supplied; templates are left blank rather than populated with invented values.

PRELIMINARY

Contents

The report follows the academic sequence of the reference project: study design, organisation, risk framework, evidence-based analysis, internship workstreams, findings and supporting appendices. Page references below refer to this report; source-page references appear in the relevant sections.

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Appendices	Data dictionary, monitoring templates and viva aid	90-100

The annual reports are used as retrospective public evidence. Internal company working papers are not reproduced.

PRELIMINARY

List of Figures, Tables and Abbreviations

Figures: five-year AUM trend (p.46); PAT and returns (p.47); yield, spread and cost of borrowings (p.48); GNPA, NNPA and provision coverage (p.49); CRAR and ROE (p.50); secured-AUM progression (p.51); RBI sector indicators (p.26); gold-collateral rules (p.29); maturity gap (p.55); interest-rate sensitivity (p.56); RBI NBFC stress scenarios (p.60); and post-internship Q1 FY27 results (p.61).

Selected abbreviations are expanded for readability. EWS means Early Warning Signals as a general risk-management term; it is not confirmed as the meaning of the internship phrase “Graphs & ever Graphs”. See the explicit terminology caveat on p.64.

Term	Meaning	Term	Meaning
ALCO	Asset Liability Committee	AUM	Assets Under Management
BRE	Business Rule Engine	CRAR	Capital to Risk-Weighted Assets Ratio
DPD	Days Past Due	EAD	Exposure at Default
ECL	Expected Credit Loss	EWS	Early Warning Signals
GNPA / NNPA	Gross / Net Non-Performing Assets	LAP	Loan Against Property
LGD	Loss Given Default	LTV	Loan-to-Value
NCD	Non-Convertible Debenture	NBFC	Non-Banking Financial Company
NII	Net Interest Income	PAT	Profit After Tax
PD	Probability of Default	PCR	Provision Coverage Ratio
RMC	Risk Management Committee	ROA / ROE	Return on Assets / Equity
SMA	Special Mention Account	ST / MT	Small Ticket / Medium Ticket

Definitions in approved company policy or source disclosures take precedence; EWS is only one possible interpretation of the unresolved internship task wording and requires supervisor confirmation.

PROJECT AT A GLANCE

Project at a Glance

This study examines how a listed secured-lending NBFC identifies and monitors risk, and how published sector/company evidence can be translated into a disciplined monthly and quarterly reporting workflow. The primary company period is FY2025-26, year ended 31 March 2026; sector context is drawn from RBI's June 2026 Financial Stability Report.

The student-supplied role is Risk Analyst at Fedbank Financial Services Ltd from 4 April to 3 July 2026. The supplied task wording includes “Graphs & ever Graphs”, quarterly RMC preparation, a monthly risk paper, policy-trigger-versus-actual monitoring and bounce analysis. The second graph term remains unresolved; EWS is not assumed. Fedfina's Q1 FY27 results were published on 15 July, after the placement ended, and are explicitly presented as post-internship context.

Item	Report basis
Primary company-data period	FY2025-26; year ended 31 March 2026
Historical context	FY2022-FY2026 chart series, using the latest FY26 report where definitions align
Sector context	RBI Financial Stability Report, June 2026; UL+ML sample, not a Fedfina peer benchmark
Post-internship context	Fedfina Q1 FY27 results published 15 July 2026; not available by 3 July
Research method	Documentary analysis, ratio/trend interpretation and risk-control design
Practical output	Monthly graph workflow, optional EWS validation template (only if confirmed), risk-paper/RMC/bounce templates

No borrower-level data, monthly MIS, internal trigger values or RMC minutes were supplied. This is an academic analysis, not an audit, credit rating or investment recommendation.

Source: Fedfina Annual Reports FY2023-24, FY2024-25 and FY2025-26; RBI FSR, June 2026; Fedfina Q1 FY27 results and earnings-call materials (all cited later).

CHAPTER 1 · INTRODUCTION

Introduction and Study Context

A lender's financial position is inseparable from the quality, timing and recoverability of its loan assets. Growth in assets under management can expand revenue, but it also increases exposure to borrower cash-flow shocks, collateral-value changes, collection delays, funding costs, liquidity mismatches, process failures and regulatory obligations. Risk analysis therefore asks not only how quickly a lender grows, but whether that growth is controlled and adequately funded.

Fedfina's FY2025-26 disclosures describe a strategy centred on secured Gold Loans and Mortgage Loans, alongside an operating rebuild in small-ticket LAP, collections, sourcing and technology. This report studies those public disclosures through a risk-management lens and connects them to the student's stated internship responsibilities.

- The focal reporting date is 31 March 2026.
- FY24 and FY25 are used only as historical context and cross-checks.
- Any internal monthly result must be inserted from authorised records, not inferred from annual data.

Risk-adjusted growth, rather than volume growth alone, is the organising idea of this report.

Source: FY26 Annual Report, supplied PDF pp.4, 13-15.

CHAPTER 1 · INTRODUCTION

Need and Relevance of the Study

A management student working in risk analysis must be able to translate financial disclosures into early questions for management: which portfolio is growing, what is changing in delinquency, whether collections are curing accounts, how much loss buffer is available, whether asset and liability cash flows align, and whether exceptions remain inside approved policy. A single profitability ratio cannot answer these questions.

The study is relevant because Fedfina's reported FY26 results combine faster AUM growth and a substantial profit recovery with a changing portfolio mix, an expanding branch base, ongoing mortgage exposures and active funding diversification. Reading these facts together makes the project a practical application of credit, market, liquidity and operational-risk concepts.

- It builds a transparent baseline from the three annual reports supplied.
- It separates reported facts from author calculations and from unavailable internal data.
- It develops repeatable monthly and quarterly templates matching the stated job tasks.

A public-data study can explain the monitoring logic; it cannot replace account-level validation.

Source: FY24 Annual Report, supplied PDF pp.13-14, 24; FY25 Annual Report, p.33; FY26 Annual Report, pp.4, 13-15.

CHAPTER 1 · INTRODUCTION

Objectives of the Study

The project has one overall objective: to analyse the principal risks associated with Fedfina's FY2025-26 business and financial disclosures, and to translate that analysis into an academically sound description of the Risk Analyst internship workstreams. The analysis is descriptive and interpretive; it does not claim access to the Company's internal risk appetite or confidential portfolio data.

- Understand Fedfina's ownership, products, operating model and FY26 strategic direction.
- Compare selected FY22-FY26 company-reported indicators using the latest annual-report series.
- Assess credit, collateral, asset-quality, funding, liquidity, interest-rate, operational and conduct risks.
- Explain monthly graph preparation, the unresolved “Graphs & ever Graphs” term, risk-paper, trigger-versus-actual, bounce and quarterly RMC workflows.
- Identify evidence-based control improvements and limitations for further study.

Objective class	Expected academic output
Descriptive	Company and product profile
Analytical	Trend, ratio and risk interpretation
Applied	Reusable monitoring templates
Evaluative	Prioritised findings and recommendations

CHAPTER 1 · INTRODUCTION

Scope, Period and Delimitations

Company performance is anchored to FY2025-26, ended 31 March 2026. FY24 and FY25 annual reports provide historical context. The internship period is 4 April-3 July 2026. The FY26 annual report was filed on 4 September 2026, after the placement, so it is retrospective study evidence rather than information assumed available to the intern.

The Q1 FY27 quarter ended 30 June 2026, but Fedfina published its results on 15 July—12 days after the stated internship end. Those disclosures are included only as post-internship context and are not represented as work performed, observed or available during the placement. RBI's June 2026 sector report is likewise public context, not company-specific evidence.

The scope covers company products, public risk disclosures, selected financial trends and monitoring-process design. It excludes unpublished borrower data, live month-end MIS, internal policy thresholds, committee packs/minutes, branch visits, interviews, model-validation work and market valuation.

Period / boundary	Use in this report
FY2023-24 and FY2024-25	Historical company context and cross-checks
FY2025-26	Primary company-data year; year-end 31 March 2026
4 Apr-3 Jul 2026	Student-stated internship dates; no daily activity log supplied
Q1 FY27, ended 30 Jun; released 15 Jul	Post-internship filed/management context only; not internship-period evidence

Fiscal-year figures, quarterly reporting dates, publication dates and calendar internship months are distinct periods.

Source: FY26 Annual Report, supplied PDF pp.1, 14-15; Fedfina Q1 FY27 results, published 15 July 2026.

CHAPTER 1 · INTRODUCTION

Research Questions and Working Propositions

The questions are designed to test whether scale, mix, profitability and control indicators move consistently, not to claim causality from annual aggregates. Reported changes are interpreted as signals for further monitoring. A secured loan can still default, collateral can be misvalued or difficult to realise, and growth can conceal weaker cohorts; these propositions frame the analysis.

- RQ1: How did AUM, PAT and returns evolve through FY22–FY26?
- RQ2: What does the disclosed movement in secured AUM and asset-quality ratios imply—and not imply—about credit risk?
- RQ3: What funding, maturity and market-risk signals are visible in FY26 disclosures?
- RQ4: How can monthly monitoring and quarterly RMC preparation be made evidence-led?
- RQ5: Which risks remain unquantified without internal account-level and policy data?

Working proposition: secured mix and operating discipline can support resilience only when underwriting, collections, liquidity and controls keep pace.

Source: FY24 Annual Report, supplied PDF p.24; FY25 Annual Report, p.33; FY26 Annual Report, pp.13–15, 114–118.

CHAPTER 1 · INTRODUCTION

Research Design and Analytical Process

The study uses descriptive research based on secondary data. Annual-report disclosures are extracted, the reporting period and units are recorded, and metrics are compared only after checking whether their definition and source presentation are compatible. The workflow then links changes in reported figures to company-described portfolio actions and to risk-management concepts.

The steps are: define the period and questions; inventory sources; extract and cross-check figures; convert units; compute transparent ratios; identify direction and exceptions; distinguish fact from interpretation; design monitoring templates; and state limits. Where two annual reports present different historical values, the latest report's five-year series is used for the plotted trend and the difference is explicitly disclosed.

Stage	Control question
Extract	What is the exact source page, date and unit?
Validate	Does the number reconcile to the relevant chart/note?
Interpret	Is the change fact, calculation or hypothesis?
Report	Can another analyst reproduce the calculation?

Source: All three supplied Fedfina annual reports; detailed source map on p.89.

CHAPTER 1 · INTRODUCTION

Reliability, Ethics and Study Limitations

Annual reports are management-prepared public disclosures, with audited financial statements and separately presented operational or forward-looking information. The report identifies which category a number belongs to. Rounded operational ratios are not treated as more precise than disclosed. AUM, GNPA, credit cost, CRAR and audited PAT can have different definitions, consolidation bases or denominator choices; they are not interchangeable.

No personal customer information, confidential policy limits, unpublished RMC material or fabricated internship outcome is included. The report uses a respectful, non-judgmental approach to borrowers: a payment bounce or arrear is a monitoring signal, not proof of bad intent. The analysis is not a substitute for Fedfina's approved policies, RBI requirements, auditor conclusions or management judgement.

- Three annual reports are the primary evidence set.
- No quantitative monthly bounce rate or policy-breach count is available in the repository.
- Terminology and year-to-year chart differences are noted rather than silently reconciled.

CHAPTER 2 · ORGANISATION

Company Profile

Fedbank Financial Services Limited, commonly referred to as Fedfina, is a public retail-lending NBFC and a subsidiary of The Federal Bank Limited. The Company was incorporated on 17 April 1995 and is headquartered in Mumbai. Its shares trade on NSE as FEDFINA and on BSE under scrip code 544027; the FY26 annual report lists CIN L65910MH1995PLC364635.

The company profile matters to risk analysis because lender type, promoter support, listing status and product design determine the governance, disclosure and funding context. Parentage may support institutional credibility, but it does not remove the NBFC's own obligations to assess borrowers, manage liquidity, protect collateral and control operations.

Company identifier	Disclosed detail
Legal name	Fedbank Financial Services Limited
Common name	Fedfina
Incorporation	17 April 1995
NSE / BSE	FEDFINA / 544027
CIN	L65910MH1995PLC364635
Primary period	FY2025-26

Source: FY26 Annual Report, supplied PDF pp.3, 6.

CHAPTER 2 · ORGANISATION

Parentage, Listing and Governance Context

The annual reports describe Fedfina as a subsidiary of Federal Bank. The FY26 investment-case section states that Federal Bank held approximately 60.8% of the Company. That relationship is strategically relevant to reputation, governance and access to institutional funding, but the risk analyst should still assess the NBFC on its own balance sheet, maturity profile, capital, asset quality and contractual obligations.

As a listed company, Fedfina reports through statutory, governance and sustainability sections in addition to its financial statements. The Risk Management Committee (RMC) and Asset Liability Committee (ALCO) have different roles: the former oversees the broader risk framework and portfolio; ALCO focuses on asset-liability and market/liquidity positions. Reporting lines and committee responsibilities should be mapped to the current approved terms of reference.

- Promoter support is a mitigant, not a substitute for standalone liquidity analysis.
- Listed disclosures provide public evidence but not the full internal risk dashboard.
- Committee oversight should be paired with named executive ownership and closure tracking.

Source: FY26 Annual Report, supplied PDF p.10 and p.53.

CHAPTER 2 · ORGANISATION

Business Model and Sources of Risk

Fedfina originates loans through a combination of branch-led, field and digital-enabled processes, funds those loans through borrowings and other disclosed funding arrangements, and earns interest and fee income while bearing credit, operating, funding and servicing costs. A lender's financial engine therefore depends on both sides of the balance sheet: performing assets generate receipts, while liabilities create scheduled outflows and refinancing needs.

A useful risk lens follows the loan lifecycle from acquisition through closure. Each stage has a distinct control objective: eligible sourcing, identity verification, underwriting, collateral validation, approval authority, documentation, disbursement, mandate setup, servicing, early warning, collection, recovery and release of security. A lapse in an early stage can reappear later as a bounce, delinquency, fraud loss or customer complaint.

Value chain	Key risk question
Source / acquire	Is the channel, borrower and application traceable?
Underwrite / secure	Are repayment capacity and collateral independently assessed?
Disburse / service	Are approvals, documents and payment mandates complete?
Monitor / collect	Are exceptions, arrears and complaints escalated on time?
Recover / close	Are recoveries fair, reconciled and security released correctly?

Source: FY25 Annual Report, supplied PDF p.33; FY26 Annual Report, pp.13, 116.

CHAPTER 2 · ORGANISATION

Product Portfolio and Risk Differentiation

Gold and Mortgage are Fedfina's principal secured product families. FY26 disclosures provide enough detail to distinguish Gold, ST LAP and MT LAP by scale, origination flow and ticket size; home loans are also within the mortgage offering. The products differ in collateral, tenor, repayment pattern, verification effort and recovery path, so portfolio monitoring should be segmented rather than reduced to one secured-loan average.

The product AUM values below total ₹19,714 crore, ₹439 crore below the reported company-wide AUM of ₹20,153 crore. Product disclosures may use different scopes or presentation bases; no residual is assigned to an unreported product. FY26 Mortgage disclosures also state that 82.2% of Mortgage AUM was backed by self-occupied residential or commercial property.

FY26 product	AUM / share	Disbursements	Average ticket	Distinct risk lens
Gold Loans	₹10,352 Cr / 51.4%	₹28,326 Cr	₹2.7 lakh	Gold price, purity, valuation, custody and LTV
MT LAP	₹5,570 Cr / 27.6%	₹2,180 Cr	₹72.4 lakh	Property title, borrower cash flow, tenor and concentration
ST LAP	₹3,792 Cr / 18.8%	₹904 Cr	₹16.1 lakh	New-book/vintage quality, field sourcing and collections

Product figures are company disclosures; the ₹439 crore arithmetic difference is unreconciled and is not labelled as another product.

Source: FY26 Annual Report, supplied PDF pp.8-9, 13.

CHAPTER 2 · ORGANISATION

Gold Loans: Risk and Control Logic

Gold lending combines relatively short tenor and readily realisable collateral with intense custody, valuation and transaction-control requirements. The FY26 report states that Gold AUM reached ₹10,352 crore, up 76% year on year, while gold under custody rose 12% to 12.6 tonnes. These disclosures distinguish physical portfolio growth from growth attributable only to higher gold prices, but they do not remove the need for granular purity, weight, LTV and custody controls.

The annual report describes the margin retained on gold jewellery and the exclusion of stone value from collateral valuation. A risk analyst should monitor approved LTV at origination and through the loan tenor, reconciliation of packets and system records, maker-checker approvals, vault access, insurance, renewal/overdue behaviour and fair customer notice before recovery actions.

- Track both price-driven collateral value and underlying gold quantity.
- Stress a sustained price fall, not only a one-day movement.
- Treat custody/process failures as operational and conduct risks as well as credit risks.

Collateral reduces expected loss only when it is correctly valued, secured and enforceable.

Source: FY26 Annual Report, supplied PDF pp.13, 116, 118; FY24 Annual Report, p.24.

CHAPTER 2 · ORGANISATION

Mortgage Loans: Risk and Control Logic

LAP and home loans are secured by immovable property, but recovery depends on enforceable title, accurate valuation, borrower cash flows, legal documentation and the time and cost of realisation. FY26 reports that 82.2% of Mortgage AUM was backed by self-occupied residential or commercial property. Occupancy is a portfolio descriptor; it is not itself proof of clear title, market liquidity or repayment capacity.

The FY26 report gives average ticket sizes and origination yields separately for ST LAP and MT LAP and describes the rebuilding of ST LAP underwriting and collections. The analyst should use vintage-based cohort views, delinquency roll-rates, bureau and bank-statement quality, property valuation ageing, legal exceptions, sector/geography concentration, and end-use monitoring to detect risk before NPA recognition.

Control step	Evidence to retain
Borrower capacity	Verified income/cash flows, obligations, bureau and repayment analysis
Security	Title search, independent valuation, charge creation and insurance where applicable
Decision	Delegated authority, policy checks, exceptions and maker-checker audit trail
Post-disbursement	End-use/early-warning follow-up, overdue, collateral and complaint monitoring

Source: FY26 Annual Report, supplied PDF p.13.

CHAPTER 2 · ORGANISATION

Customer and Loan Lifecycle

Risk controls should be designed as a continuous chain rather than a one-time credit approval. Before disbursement, identity, consent, bureau, cash flow, collateral, documentation and repayment mandate need to be checked. After disbursement, servicing and early-warning signals can reveal deteriorating capacity, mandate failure, fraud patterns, collateral exceptions or unfair customer outcomes.

The reported FY26 customer and digital-servicing indicators show why operating metrics belong in risk reporting. The annual report discloses active customers, average customers per branch, automated service and resolution-within-turnaround-time measures. These are service indicators, not direct proof of credit quality. Each operational KPI should have a definition, source system, owner, reporting cut-off and exception path.

- Pre-origination: eligibility, identity, affordability and collateral.
- Origination: authority, terms, documentation and disbursement controls.
- Servicing: mandate status, payments, complaints and account changes.
- Collections: contact, promise-to-pay, cure, recovery and escalation.
- Closure: no-dues, collateral release, reconciliation and record retention.

Source: FY26 Annual Report, supplied PDF p.4 and pp.31-32.

CHAPTER 2 · ORGANISATION

Branch Network, Sourcing and Portfolio Reach

Fedfina's FY26 report states 757 branches across 17 states and union territories, with 148 branches added during the year. FY25 reports 694 branches across 18 states/UTs. The year-end network rose by 63 between those disclosed snapshots, not by 148; the reports do not provide a complete opening/closure/reclassification reconciliation in the cited summary. The two figures should therefore be reported as disclosed, not arithmetically conflated.

The FY26 strategy describes greater in-house origination and branch co-location for Gold and LAP. Branch-level reporting should combine production with quality: vintage AUM, approval exceptions, early-bucket delinquency, bounce, cash reconciliation, customer complaints, audit findings and staff capacity. Growth without a control-capacity view can conceal emerging execution risk.

Disclosure	FY24	FY25	FY26
Year-end branches	621	694	757
States / UTs	18	18	17
FY26 additions	—	—	148 reported additions

FY26's 148 branch additions do not equal the 63 difference between FY25 and FY26 year-end counts; the source does not reconcile gross additions to net movement.

Source: FY24 Annual Report, supplied PDF pp.6, 14; FY25 Annual Report, p.13; FY26 Annual Report, pp.4, 7.

CHAPTER 2 · ORGANISATION

FY26 Strategy and Portfolio Rebuild

Management describes FY2025-26 as a year of rebuilding, re-securing and strengthening collections. Published actions include the H1 exit from the ₹886 crore business-loan portfolio, a secured-AUM share of 98.9%, rapid Gold growth, ST LAP redesign, more direct origination, a larger in-house collections team, branch co-location and a Business Rule Engine. These actions change product, underwriting, operational and funding exposures and therefore need measurable follow-up.

FY26 Gold AUM was ₹10,352 crore (+76%); Mortgage AUM was ₹9,362 crore when the disclosed ST and MT balances are added (₹3,792 crore + ₹5,570 crore). The company-wide AUM was ₹20,153 crore. Management's forward-looking FY27 aspirations are not treated as results or forecasts in this report; the analyst should test strategy through cohorts, exceptions, collections, capital, funding and customer outcomes.

- Risk change: from legacy business-loan exposure toward a more secured portfolio.
- Control change: system-driven ST LAP decisioning and verticalised collections.
- Funding change: more lenders, expanded ECB programme and a higher fixed-rate share.
- Execution test: new branch vintages and rehabilitated ST LAP cohorts must season safely.

FY26 business actions and performance are retrospective company disclosures; forward-looking management statements are not actual outcomes.

Source: FY26 Annual Report, supplied PDF pp.4, 8-10, 13-14.

CHAPTER 3 · RISK LANDSCAPE

Retail-NBFC Risk Context

A retail NBFC converts wholesale and market funding into loans to households and small businesses. The model creates value when income covers funding, operating costs, expected credit loss, capital and liquidity. A macro slowdown can affect borrower cash flows, new demand, collections and refinancing simultaneously, so sector conditions matter—but do not determine any one lender's results.

RBI's June 2026 Financial Stability Report found that credit growth in its Upper- and Middle-Layer NBFC sample moderated to 16.6% year on year by March 2026. Growth accelerated in agriculture and retail, while slowing in industry and services; gold and other retail loans were identified as key retail growth drivers. Aggregate NII and PAT growth were 9.7% and 11.8%, respectively. These are RBI sector indicators, not Fedfina figures.

RBI NBFC indicator	Published result	Risk-analysis use
Upper + Middle Layer credit growth	16.6% y/y, March 2026	Sector expansion moderated; not a company growth rate
NBFC-MFI credit growth	14.5% y/y, March 2026	Activity-category statistic; different from Fedfina's product mix
Aggregate NII / PAT growth	9.7% / 11.8% y/y	Sector profitability context; not a Fedfina return benchmark
Layer growth, matched sample	Upper Layer 19.8%; Middle Layer 14.4% in Mar-26 (12.6% in Sep-25)	Common-set comparison; not the all-NBFC growth rate
Lending composition by layer	Upper: retail 62.2%, services 25.5%; Middle: industry 61.7%	Portfolio shares, not growth rates
Sector growth pattern	Agriculture/retail accelerated; industry/services slowed	Different segments face different demand and loss drivers
Retail-loan drivers	Gold and other retail loans	Relevant to collateral, pricing and concentration monitoring

RBI's focus sample is NBFCs in the Upper and Middle Layers (excluding CICs, HFCs and SPDs). Sector aggregates and supervisory samples are not directly comparable with Fedfina's definitions or portfolio.

Source: RBI, Financial Stability Report, June 2026, Chapter II, paras. 2.55–2.63, Charts 2.28–2.29; official report page ID 1325.

CHAPTER 3 · RISK LANDSCAPE

Risk Governance: Board, RMC and ALCO

The FY26 annual report describes the Board Risk Management Committee's remit: risk policy and mitigation, internal controls, business continuity, monitoring systems, product-level delinquency/NPA, liquidity oversight and reporting to the Board. ALCO separately oversees asset-liability, liquidity and earnings-at-risk matters. The analyst's pack should support these distinct decisions without merging committee responsibilities.

The annual report records five RMC meetings in FY2025–26: 28 April, 28 July and 17 October 2025, then 7 and 15 January 2026. Dates establish the published meeting record, not the contents of minutes or whether a particular pack was prepared quarterly. The student's stated task is quarterly RMC preparation; internal agendas and decisions were not supplied.

Forum / line	Published role or reporting evidence
Board / RMC	Risk policy, portfolio/NPA, liquidity, controls, BCP and Board reporting
ALCO	Structural liquidity, funding, repricing and earnings-at-risk monitoring
Business (first line)	Perform controls and correct exceptions at source
Risk / Compliance (second line)	Monitor, challenge, aggregate and escalate risk
Internal Audit (third line)	Test controls independently and track findings
FY26 RMC record	5 meetings: 28 Apr, 28 Jul, 17 Oct 2025; 7 and 15 Jan 2026

Source: FY26 Annual Report, supplied PDF p.53 (printed report p.100) and pp.114–118; FY25 Annual Report, p.33.

CHAPTER 3 · RISK LANDSCAPE

Credit Risk and Portfolio Concentration

Credit risk reflects the probability and timing of borrower non-payment, the loss after default, and the effectiveness of collection and recovery. A secured loan can still default; the lender must also establish collateral value, legal rights, control of custody and realistic recovery timing. Product, vintage, ticket, state/district, branch, sourcing channel, borrower occupation and collateral type should therefore be monitored together.

The FY26 annual report reports secured AUM of 98.9%, Gold AUM of ₹10,352 crore, and top-five-state concentration of 75.1%. Gold, MT LAP and ST LAP together account for 97.8% of disclosed AUM shares; the remainder is not allocated here because the product disclosures do not reconcile exactly to total AUM. This concentration profile supports product- and geography-specific monitoring rather than a single collateralised-book assumption.

- Measure exposure and delinquency/loss by product, vintage, branch, geography and channel.
- Separate new-book vintages from seasoned/legacy portfolios and from sold or assigned pools.
- Test correlated concentrations in borrower cash flow, property markets, gold prices and collection routes.

Public concentration indicator	FY26 disclosure	Analytical caveat
Secured AUM	98.9%	Collateral does not remove PD, legal, custody or recovery risk
Gold portfolio	₹10,352 Cr; 51.4% of AUM	Price and physical quantity effects should be separated
Mortgage products	MT LAP 27.6%; ST LAP 18.8% of AUM	Distinct ticket sizes and seasoning; do not combine blindly
Top five states	75.1% of AUM	State average does not reveal district/branch clustering

Product shares and company-wide secured share are rounded published disclosures; they are not an internal portfolio cube.

Source: FY26 Annual Report, supplied PDF pp.4, 7-9, 116-117.

CHAPTER 3 · RISK LANDSCAPE

Collateral, Valuation and Recovery Risk

The RBI (Lending Against Gold and Silver Collateral) Directions, 2025 apply to eligible gold/silver collateral loans for consumption or income generation (including farm credit), subject to stated exceptions. Regulated entities were required to comply no later than 1 April 2026. The Directions require lender policy on borrower/portfolio limits, maximum LTV, breach action, valuation and purity standards.

Crucially, the tiered 85%/80%/75% LTV ceilings below apply to consumption loans by total borrower loan amount; they are not blanket ceilings for every income-generating gold-backed loan. Detailed repayment-capacity assessment is required when the borrower's total eligible-collateral loan exceeds ₹2.5 lakh, and the prescribed consumption-loan LTV must be maintained throughout the tenor.

Fedfina's FY26 annual report describes portfolio LTV of 60.9% and a minimum 25% margin. These are company-reported portfolio/practice disclosures; neither is an account-level compliance test. The RBI per-borrower consumption-loan limits and the company's portfolio-average LTV have different scope and should not be directly compared as if they were the same metric.

Control area	Published RBI requirement	Scope / use
Applicability / timing	Eligible gold/silver collateral loans; compliance by 1 Apr 2026	Consumption and income-generation loans, subject to Direction text
Consumption LTV tier 1	Loan amount ≤ ₹2.5 lakh: max 85%	Total consumption loan per borrower
Consumption LTV tier 2	> ₹2.5 lakh and ≤ ₹5 lakh: max 80%	Total consumption loan per borrower
Consumption LTV tier 3	> ₹5 lakh: max 75%	Total consumption loan per borrower
Repayment assessment	Detailed capacity assessment above ₹2.5 lakh	Total eligible-collateral loan to borrower
Ongoing LTV / auction	Maintain LTV; reserve price and auction safeguards prescribed	Refer to Directions for full conditions and exceptions

The RBI percentage caps above are not Fedfina internal limits and do not apply as a blanket ceiling to all gold-backed lending. Always consult the current official Direction.

Source: RBI, Reserve Bank of India (Lending Against Gold and Silver Collateral) Directions, 2025, paras. 4-5, 8, 17-20, Notification ID 12859; FY26 Annual Report, supplied PDF pp.9, 116.

CHAPTER 3 · RISK LANDSCAPE

Liquidity Risk and Asset-Liability Management

The FY26 contractual maturity analysis shows a positive ₹4,976.24 crore net position within one year and a negative ₹2,050.13 crore net position after one year. Gross assets and liabilities below are converted from ₹ lakh to ₹ crore. The total net gap is positive, but it does not cancel the negative longer-tenor bucket or prove liquidity under stress.

For comparison, the FY25 report disclosed a positive within-one-year net position of ₹3,076.65 crore and a negative after-one-year position of ₹529.27 crore. The longer-tenor deficit therefore widened in the FY26 contractual table. This is a static maturity disclosure, not a complete behavioural-liquidity view or stress-survival horizon; review encumbrance, rollover, undrawn facilities, collection timing and behavioural assumptions separately.

- Monitor cumulative cash-flow gaps by approved time bucket.
- Separate unencumbered liquid assets from pledged or restricted balances.
- Test delayed collections, reduced renewal, refinancing closure and higher drawdowns.
- Escalate breaches against approved ALM limits; do not invent public thresholds.

Maturity bucket at 31 Mar 2026	Assets (₹ Cr)	Liabilities (₹ Cr)	Net gap (₹ Cr)
Within 1 year	10,529.12	5,552.87	+4,976.24
After 1 year	6,345.66	8,395.79	–2,050.13
Total	16,874.77	13,948.69	+2,926.08

₹ lakh values divided by 100; small differences between gross sums and published net gaps arise from rounding. The analysis is contractual and does not imply cash is unencumbered.

Source: FY26 Annual Report, supplied PDF pp.114–115; FY25 Annual Report, supplied PDF p.114 (printed report p.222).

CHAPTER 3 · RISK LANDSCAPE

Interest-Rate and Foreign-Currency Risk

The FY26 financial-statement note reports the impact on PAT of a 25-basis-point rate change for loans and borrowings, holding other variables constant. On a +25 bp shock, the reported loan sensitivity is +₹6.52 crore and borrowing sensitivity –₹14.79 crore; for a –25 bp shock, the signs reverse. These are separate disclosures, not a verified net forecast.

A simple net of the two values would ignore repricing timing, fixed/floating mix, floors/caps, hedges and model assumptions. ALCO monitoring should reconcile gross and net earnings-at-risk, cash-flow repricing gaps, currency exposure and hedge effectiveness under the approved model.

Disclosed shock	Loans: PAT sensitivity	Borrowings: PAT sensitivity
+25 basis points	+₹6.52 Cr	–₹14.79 Cr
–25 basis points	–₹6.52 Cr	+₹14.79 Cr

The FY26 report also describes ALCO earnings-at-risk monitoring and hedging of foreign-currency borrowing exposure. Separate sensitivities must not be presented as a combined forecast.

Source: FY26 Annual Report, supplied PDF pp.15, 118.

CHAPTER 3 · RISK LANDSCAPE

Operational, Fraud and Process Risk

Operational risk can arise from people, processes, systems and external events. In lending, examples include wrong data entry, unauthorised approval, incomplete documentation, duplicate applications, misdirected disbursement, collateral handling failure, cash/reconciliation breaks and delayed complaint resolution. Fraud risk overlaps with credit and operational risk but should have its own incident taxonomy and investigation controls.

The FY25 report describes a three-lines-of-defence framework, segregation of duties, access and authorisation controls, reconciliations, employee training, a fraud-control unit and incident root-cause analysis. These are management disclosures; a public report cannot prove operating effectiveness. Monitoring should connect incidents, near misses, loss events, audit findings, overdue actions and repeat causes.

- Record gross and net loss, recovery, root cause and control owner.
- Do not close an incident only because a system ticket was raised.
- Review access rights and privileged-user activity after role changes.
- Test branch controls through samples, surprise checks and independent reconciliation.

Source: FY25 Annual Report, supplied PDF p.33; FY24 Annual Report, p.24.

CHAPTER 3 · RISK LANDSCAPE

Cyber, Data and Third-Party Risk

Digital workflows can improve speed and consistency but create dependency on core platforms, APIs, identity services, payment rails, cloud or technology vendors, telecom connectivity and data quality. A cyber incident can interrupt sourcing or servicing, expose personal data, enable fraud and damage customer trust. Resilience requires preventive, detective and recovery controls across the full third-party chain.

The FY25 report describes continuous security monitoring, vulnerability assessment and penetration testing, incident response, vendor risk and business-continuity oversight. The FY26 report describes a system-driven ST LAP model and digital collection adoption. These disclosures suggest an expanding technology surface; the risk analyst should ask whether incidents, vulnerabilities, outages and recovery tests are measured consistently and escalated to accountable owners.

KRI example	Evidence / escalation
Critical-system availability	Service logs, outage minutes, root cause and recovery test
Open high-severity vulnerabilities	Ageing, owner, compensating control and closure evidence
Third-party incidents	Materiality, data/system impact and contractual notice
Data-quality exceptions	Reconciliation breaks, duplicate records and correction ageing

Source: FY25 Annual Report, supplied PDF p.33; FY26 Annual Report, pp.13, 32.

CHAPTER 3 · RISK LANDSCAPE

Regulatory, Conduct, Reputational and ESG Risk

Regulatory risk includes failure to identify, interpret, implement or evidence applicable requirements. Conduct risk includes unsuitable sales, unclear terms, unfair collection behaviour, weak consent, incorrect charges or unresolved grievances. Such issues can create penalties, remediation cost, customer harm and reputational damage even before a financial loss is recognised.

The FY26 RMC terms of reference expressly include financial, operational, sectoral, sustainability, information and cyber risks and business continuity. The annual report also describes customer-service indicators and ESG disclosures. A balanced risk pack should combine prudential measures with complaints, turnaround-time failures, responsible collection, privacy, inclusion and relevant environmental-risk signals, using definitions approved by the Company.

- Track complaints by product, root cause, ageing and repeat occurrence.
- Monitor collection conduct and customer-impact indicators alongside recovery.
- Assess regulatory changes for policy, system, training and evidence requirements.
- Link ESG risk to portfolio, operations and governance—not only expenditure.

Source: FY26 Annual Report, supplied PDF pp.4, 21, 53; FY25 Annual Report, p.33.

CHAPTER 3 · RISK LANDSCAPE

How Risks Interact

Risks rarely appear in isolation. A local economic shock can weaken small-business cash flow; a failed payment mandate raises bounce volumes; delayed collection moves accounts into higher DPD buckets; falling property liquidity or gold prices can lower collateral coverage; provisions and recovery costs affect profit; and funding markets may become less receptive if asset quality weakens. Rapid expansion can intensify every link when controls and staffing lag.

Risk reporting should therefore show leading and lagging measures together. Leading indicators include application quality, policy exceptions, mandate success, borrower contactability, collateral margin, branch productivity and complaint trends. Lagging indicators include GNPA, write-offs, provisions, loss and legal recovery. A single traffic light is insufficient unless it shows the underlying driver, time horizon, owner and remediation.

Shock	Transmission chain	Monitoring link
Borrower cash-flow stress	Bounce → arrears → Stage migration → loss	Bounce, roll-rate, cure, ECL
Gold-price fall	Lower collateral cushion → margin pressure	LTV distribution, price stress, overdue
Funding spread widening	Higher CoF → lower NII / liquidity strain	Maturity, repricing, undrawn lines
Technology outage	Servicing delay → missed receipts / complaints	Availability, back-up, reconciliation

The matrix is an analytical pathway, not a claim that any one event occurred at Fedfina.

CHAPTER 4 · METHODOLOGY

Research Methodology

A descriptive, secondary-data design is used. The three supplied annual reports form the evidence base; the FY26 report is the primary period, while FY24 and FY25 provide context and cross-checks. The analysis includes trend comparisons, year-on-year calculations, ratio interpretation, maturity and sensitivity disclosures, and qualitative risk-control mapping.

No statistical causal model is estimated because the repository does not contain monthly borrower- or product-level observations. No internal policy limit, trigger or committee finding is inferred. This distinction protects the analysis from converting an illustrative academic framework into a false company disclosure.

Method	Application
Trend analysis	FY22-FY26 series reported in FY26 report
Comparative review	FY24/FY25/FY26 as-reported checks
Ratio / sensitivity	Transparent calculations with units and assumptions
Process design	Monthly and quarterly templates for the stated internship tasks

Source: All three supplied annual reports; source map on p.89.

CHAPTER 4 · METHODOLOGY

Source Hierarchy and Evidence Labels

Evidence labels distinguish assurance, source and period. Audited annual financial statements, company-reported operational indicators, unaudited limited-reviewed quarterly results, management commentary, author calculations, RBI sector statistics and hypothetical stress scenarios are not interchangeable. A narrative explanation or target is not an audited result; a stress scenario is not a forecast or a Fedfina outcome.

Q1 FY27 results were published after the internship ended and are used solely as post-internship context. The financial results are unaudited and accompanied by a limited-review report, not an audit opinion. Where operating AUM/product figures come from an earnings-call transcript, they are labelled management commentary. The report keeps RBI sample statistics separate from company data.

Evidence label	What it means	Example in this report
Audited annual	Annual financial statements and audit opinion	FY26 PAT and balance-sheet disclosures
Filed quarterly (unaudited; limited review)	Quarterly results with limited-review conclusion	Q1 FY27 filed ratios; post-internship context
Company operational disclosure	Published KPI; definition may differ by table	FY26 AUM, product mix and collections
Management commentary	Attributed explanation or operating update	Q1 FY27 AUM, stage mix and assignment strategy
RBI sector / scenario	System sample or hypothetical stress result	June 2026 NBFC credit and stress tests
Calculated / interpreted	Transparent arithmetic or analyst implication	AUM growth and derived stress-bar values

A data label should accompany every material number, especially where a filed ratio, management statement and calculated value appear together.

Source: FY26 Annual Report, supplied PDF pp.4, 14-15; RBI FSR, June 2026; Fedfina Q1 FY27 results and earnings-call transcript, 15 July 2026.

CHAPTER 4 · METHODOLOGY

Data Extraction, Validation and Unit Control

The annual reports state some balance-sheet values in ₹ lakh, selected trends in ₹ million and the company overview in ₹ crore. This report converts ₹ million to ₹ crore by dividing by 10 and ₹ lakh to ₹ crore by dividing by 100. Percentages and ratios are not converted. Rounded values are shown with limited decimal precision, and small differences may arise from rounding.

For every extracted figure, record the report year, PDF page, printed annual-report page where visible, label, period, unit, basis and whether it is audited or operational. Cross-check labels visually against the charts because PDF text extraction may reorder chart values. Do not copy values from search snippets without inspecting the page.

- 1 crore = 10 million = 100 lakh.
- Keep source precision in working notes; round only for display.
- Check sign, basis, reporting date and denominator before comparing.
- Reconcile derived totals; if a source does not reconcile, disclose the gap.

Source: FY26 Annual Report, supplied PDF pp.14-15, 114-118.

CHAPTER 4 · METHODOLOGY

Ratio and Trend Analysis

AUM growth is calculated as (closing AUM this year ÷ closing AUM last year) – 1. A year-on-year change in a percentage ratio is reported in percentage points; a relative percentage change is a different calculation. ROA and ROE are taken from the company's chart series, not recomputed from closing assets or equity because the denominator conventions may differ.

GNPA and NNPA are asset-quality indicators with different provisioning treatments. PCR is interpreted with its disclosed basis and should not be treated as a stand-alone estimate of recovery. CRAR is a capital-adequacy measure, while leverage and funding maturities provide separate context. Ratio interpretation is therefore paired with product, vintage, funding and operational views.

Indicator	Basic interpretation
AUM growth	Scale change; pair with quality and funding
PAT / ROA / ROE	Profit and return; assess denominator and leverage
GNPA / NNPA / PCR	Delinquency and reserve context; definitions matter
CRAR	Capital buffer relative to risk-weighted assets
Spread / CoF	Pricing less funding-cost context; not full NIM analysis

Source: FY26 Annual Report, supplied PDF pp.14-15.

CHAPTER 4 · METHODOLOGY

Early-Warning Indicators: Conditional Monitoring Method

An early-warning signal (EWS) is a measurable indicator that may precede delinquency, loss, conduct failure or liquidity pressure; it is not, by itself, a prediction of default. Any EWS needs a defined population, source, frequency, threshold authority, validation, false-positive review, owner and action deadline. Segmentation by product, vintage, channel and geography is often more informative than one company-wide average.

Possible credit indicators include mandate failure, repeated bounce, arrears migration, bureau deterioration where lawfully available, adverse cash-flow movement, collateral-margin erosion and unusual early closure/top-up patterns. These are illustrative categories, not confirmed Fedfina internship tasks or internal rules. Use EWS reporting only if the internship supervisor confirms that “ever graphs” meant EWS; otherwise replace this method with the correct graph category.

Signal family	Illustrative measure	Validation / follow-up
Payments	First-presentment success / repeat return	Separate technical from customer-related causes
Delinquency	DPD roll-forward and cure by vintage	Validate account population and cut-off
Collateral	LTV, valuation age and exception count	Use approved revaluation/escalation rules
Operations	Reconciliation breaks / aged complaints	Assign owner and verify closure

EWS content is an optional analytical example, not a confirmed interpretation of the phrase “Graphs & ever Graphs”.

Source: FY25 Annual Report, supplied PDF p.33; FY26 Annual Report, p.116.

CHAPTER 4 · METHODOLOGY

Policy Trigger Versus Actual: Analytical Rule

A trigger comparison is valid only when the approved policy threshold, direction of breach, population, reporting date and actual value refer to the same definition. A high-is-bad limit and a low-is-bad floor need different logic. The comparison should preserve the official threshold and should not substitute an analyst's preferred benchmark.

The report recommends a register with the policy clause, indicator, approved limit, actual, headroom, status, duration, root cause, compensating controls, accountable owner, due date, escalation forum and evidence of closure. No Fedfina-specific threshold is available in the supplied files, so Appendix F deliberately leaves policy-limit fields blank.

- Confirm current approved policy version and effective date.
- Validate denominator, scope, cut-off and data lineage.
- Record breach even if subsequently cured; retain the event trail.
- Escalate repeated near-breaches as well as formal breaches.

No numeric policy trigger in this report should be used as an internal Fedfina limit.

Source: FY25 Annual Report, supplied PDF p.33; FY26 Annual Report, pp.53, 116.

CHAPTER 4 · METHODOLOGY

Bounce-Analysis Method

A payment bounce is a presentment or mandate outcome, not automatically a credit default. Count bounce rate is bounced presentments divided by total valid presentments; amount bounce rate is bounced value divided by presented value. A portfolio should define whether retries, reversals, duplicates and technical returns are included, and should avoid double-counting the same instalment.

Useful cuts include product, due-date cycle, vintage, branch, channel, mandate type, return code, first-time versus repeat, amount band and cure window. Separate technical failures from insufficient funds or other customer-related returns. Pair the bounce trend with subsequent DPD, collection efficiency, cure and complaint metrics to see whether an operational event became a credit event.

Measure	Formula
Count bounce rate	Valid bounced presentments ÷ valid total presentments
Amount bounce rate	Returned amount ÷ presented amount
Cure rate	Bounced accounts cured within defined window ÷ bounced accounts
Repeat bounce rate	Accounts with ≥2 returns ÷ accounts presented

No actual monthly bounce dataset was supplied; this page specifies a method, not a Fedfina result.

CHAPTER 4 · METHODOLOGY

Monthly Risk Paper and Quarterly RMC Pack

The monthly risk paper is a concise management document that records period performance, movement against risk appetite, emerging exceptions, portfolio drivers and actions. It should state what changed since the last month, why it changed, whether the movement is persistent, what decision is needed and who owns the response. Definitions and cut-off dates belong beside the chart, not in an analyst's memory.

The quarterly RMC pack escalates material and cross-functional matters. It should synthesise monthly trends, concentration, asset quality, liquidity/ALM, capital, market, operational, cyber, compliance and customer risks, and track prior committee actions. The FY26 annual report's RMC terms of reference support this broad view; committee material itself remains internal and is not reproduced here.

- Monthly: management dashboard, exceptions, root cause and action log.
- Quarterly: risk appetite, systemic themes, stress, material incidents and decisions.
- Both: source, definition, owner, due date, evidence and escalation status.

Source: FY26 Annual Report, supplied PDF p.53; FY25 Annual Report, p.33.

CHAPTER 4 · METHODOLOGY

Confidentiality, Integrity and Limitations

A workplace risk analyst may see non-public customer, portfolio, policy and committee data. Such data should only be used in the authorised work environment and only in accordance with company policy and academic permission. It should not be copied into a public repository, personal report or Git history. This project intentionally contains no customer-level information or confidential Fedfina policy limits.

A student should keep source files, formulas and review evidence traceable, disclose estimates, avoid retrofitting a narrative after seeing outcomes, and seek supervisor approval for external circulation. The templates in this report are blank academic formats. Before submission, the student should confirm permission for internship details, guide names, the institution's certificate wording and the interpretation of the task-list term 'ever graphs'.

- Do not publish internal data, borrower identifiers or committee deliberations.
- Do not imply an employer-issued certificate without the original signed document.
- Do not present a blank template as completed internship evidence.
- Use the latest authorised policy and data dictionary for any live comparison.

CHAPTER 5 · FY26 ANALYSIS

FY26 Risk and Financial Dashboard

The FY26 company snapshot combines scale and profitability with asset-quality, capital and execution indicators. It is a reporting-date/annual summary, not a month-by-month cohort view. Headline ratios should be read together; none alone demonstrates sustainable, risk-adjusted growth.

Fedfina reported AUM of ₹20,153 crore, FY26 disbursements of ₹31,410 crore, secured AUM of 98.9%, GNPA 1.9%, NNPA 1.3%, credit cost 0.8%, CRAR 22.4%, PAT ₹343.6 crore, ROA 2.4% and ROE 12.6%. The FY26 five-year chart reports PCR of 32.3%, down from 40.0% in FY25. Product and maturity analysis follows on pp.52-55.

FY26 indicator	Reported value	Risk reading
AUM / disbursements	₹20,153 Cr / ₹31,410 Cr	Scale and flow; assess quality by product/vintage
Secured AUM	98.9%	Collateral execution and borrower PD remain material
GNPA / NNPA	1.9% / 1.3%	Gross and net measures moved differently
Credit cost / PCR	0.8% / 32.3%	Period cost and reserve coverage are distinct
CRAR	22.4%	Point-in-time capital; growth consumes risk-weighted capital
PAT / ROA / ROE	₹343.6 Cr / 2.4% / 12.6%	Recovery is positive; repeatability needs testing

FY26 company disclosures; rounded figures are not recalculated from the financial statements. See p.61 for separately labelled post-internship Q1 FY27 context.

Source: FY26 Annual Report, supplied PDF pp.4, 14-15.

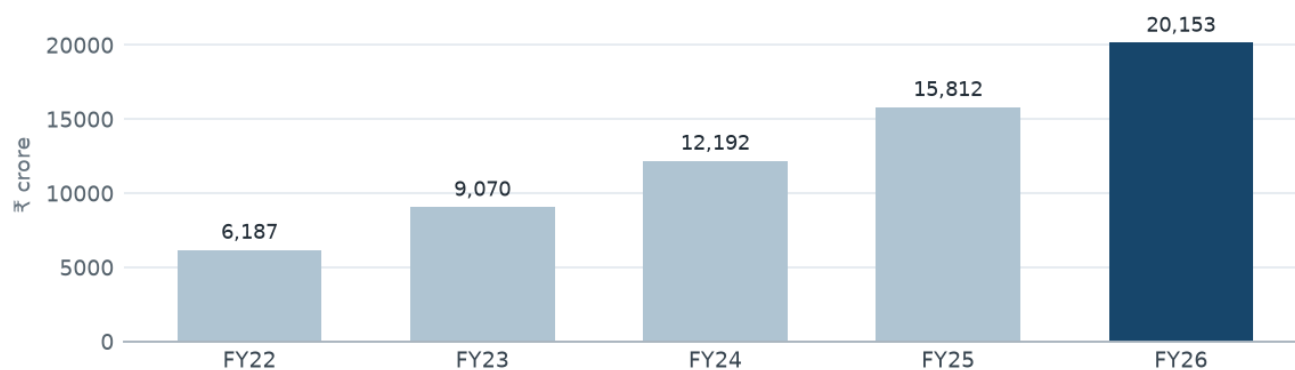
CHAPTER 5 · FY26 ANALYSIS

AUM Growth and Scale

The latest five-year series shows AUM rising from ₹6,187.2 crore in FY22 to ₹20,153 crore in FY26. On the reported closing figures, FY26 AUM grew approximately 27.5% year on year; the FY22-FY26 compound annual growth rate is approximately 34.3%. These are author calculations from company-reported values, not an independently audited reconstruction of monthly balances.

AUM growth is a scale measure, not a standalone success measure. It should be decomposed into product, vintage, geographic and channel contributions, and viewed with credit cost, cost of funds, branch maturity, capital consumption and collection performance. A rapid secured-AUM expansion can still create concentration, collateral and execution risks.

Assets Under Management | ₹ crore



₹ million values in the FY26 chart are divided by 10 to display ₹ crore. CAGR is calculated over four annual intervals.

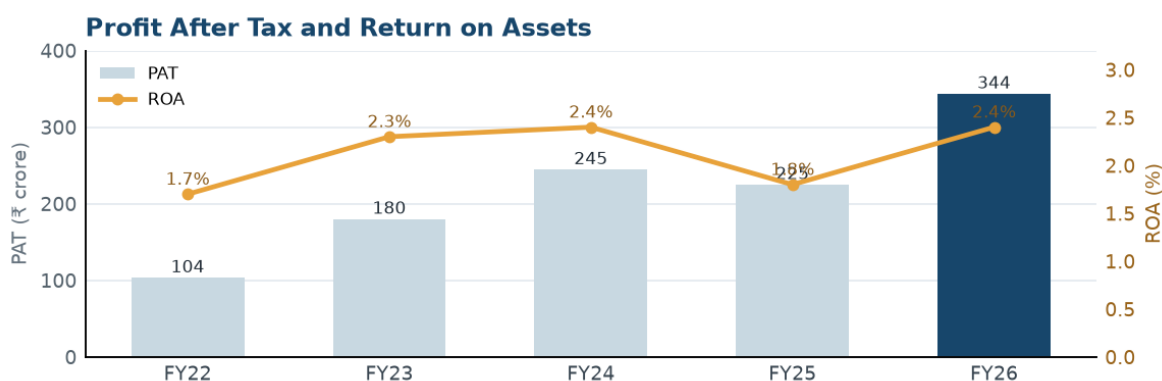
Source: FY26 Annual Report, supplied PDF p.14; FY24 Annual Report, p.13; FY25 Annual Report, p.12.

CHAPTER 5 · FY26 ANALYSIS

Profitability, ROA and ROE

PAT rose from ₹225.2 crore in FY25 to ₹343.6 crore in FY26, a calculated increase of 52.6%. In the FY26 five-year chart, ROA rose from 1.8% to 2.4% and ROE from 9.4% to 12.6%. Profit recovery is material, but the return path should be tested against core income, credit costs, funding costs, mix and one-off effects rather than attributed to a single strategy.

The annual report states that credit cost on average total assets fell by 93 basis points to 0.8% in FY26. This indicates that the profit change occurred alongside lower reported credit cost; it does not establish that lower credit cost alone caused the PAT recovery. ROE can also respond to leverage and equity movements, so both ROA and ROE belong in the review.



Indicator	FY25	FY26	Change / Interpretation
PAT	₹225.2 Cr	₹343.6 Cr	+52.6% calculated
ROA	1.8%	2.4%	+0.6 percentage points
ROE	9.4%	12.6%	+3.2 percentage points
Credit cost	About 1.7%	0.8%	Annual report states a 93 bp decline

PAT values are company-reported; growth and percentage-point differences are author calculations. ROA/ROE are the FY26 report's chart series.

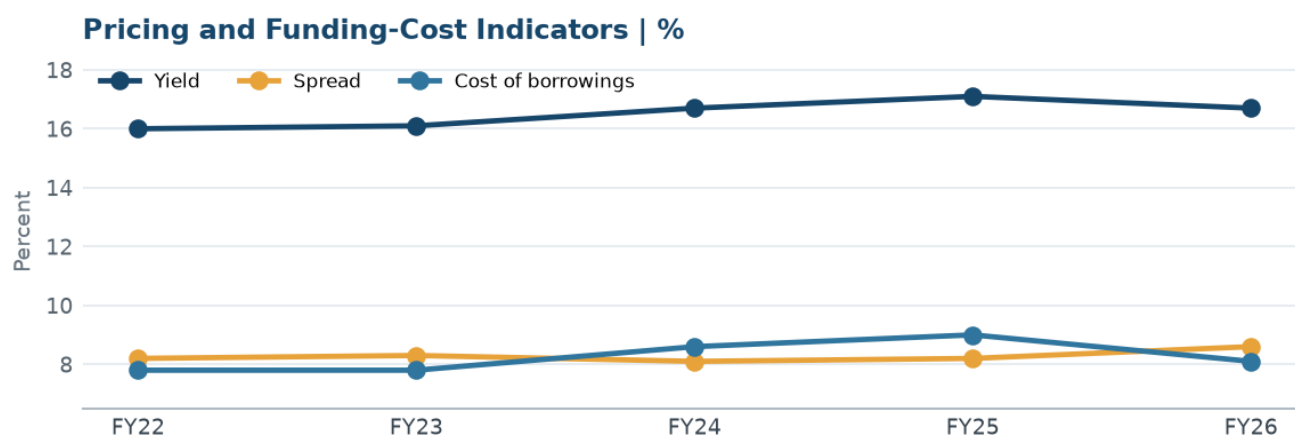
Source: FY26 Annual Report, supplied PDF pp.4, 13-15; FY25 Annual Report, supplied PDF pp.12-13.

CHAPTER 5 · FY26 ANALYSIS

Yield, Spread and Funding-Cost Trend

The FY26 report's five-year chart shows FY26 yield of 16.7%, spread of 8.6%, cost of borrowings of 8.1% and cost-to-income of 57.2%. Relative to FY25 in that same chart, yield is lower by 0.4 percentage point while spread is higher by 0.4 point and borrowing cost is lower by 0.9 point. Such movements can reflect pricing, product mix, funding mix or methodology; the report does not attribute every change to one cause.

Prior annual reports present different historical yield/spread/cost-of-borrowing values for some years. For this plot, the latest FY26 five-year series is used consistently. Before calculating a live NIM or price-versus-cost gap, use the exact approved metric definitions and distinguish nominal yield, spread, net interest margin and cost of funds.



Historical series in FY26 report differs from selected FY25 report disclosures; see reconciliation on p.89. Do not splice series silently.

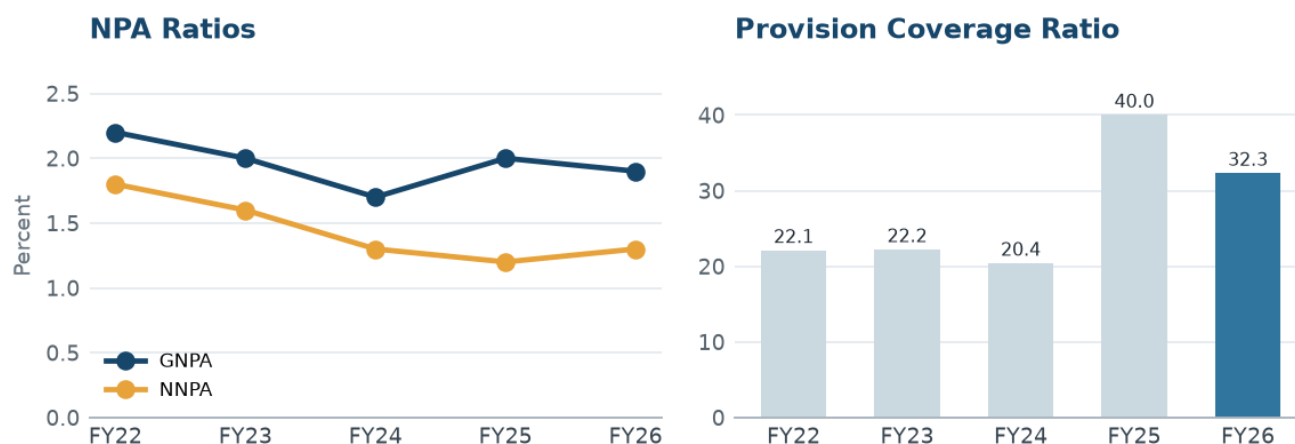
Source: FY26 Annual Report, supplied PDF pp.14-15; FY25 Annual Report, p.12.

CHAPTER 5 · FY26 ANALYSIS

Asset Quality and Provision Coverage

The FY26 latest five-year chart shows GNPA at 1.9% versus 2.0% in FY25, while NNPA rises from 1.2% to 1.3%. Provision coverage is 32.3% versus 40.0% in FY25 in the same series. The measures do not move in lockstep: gross delinquency can improve while net NPA or coverage changes because exposures, provisions, write-offs and stage mix also change.

The FY25 report described 1.7% credit cost for the rebuild year, while the FY26 report states 0.8% credit cost and a 93-basis-point decline. GNPA and credit cost answer different questions: GNPA is a stock ratio at a date; credit cost is a period flow/ratio. Monitor both with Stage 2, roll rates, write-offs, recoveries and vintage loss.



No account-level delinquency, Stage 2 or bounce series was provided; conclusions are limited to published aggregate indicators.

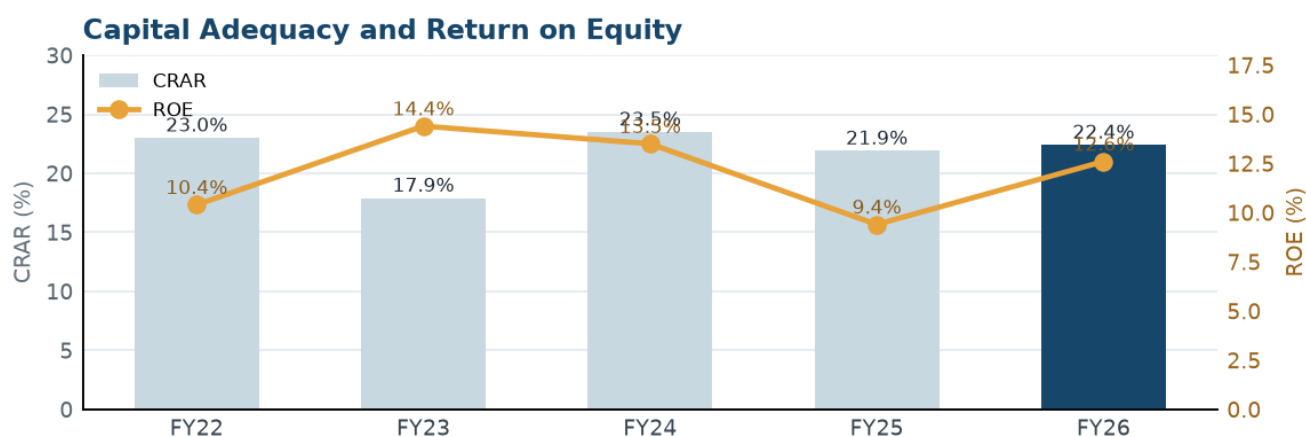
Source: FY26 Annual Report, supplied PDF pp.4, 15; FY25 Annual Report, p.13.

CHAPTER 5 · FY26 ANALYSIS

Capital Adequacy and Return Profile

The FY26 five-year chart reports CRAR of 22.4% in FY26, compared with 21.9% in FY25. The ratio is a regulatory capital measure and should be interpreted against minimum requirements, buffers, risk-weighted asset growth, capital planning and the Company's own approved appetite. A headroom calculation requires the applicable requirement and the precise standalone/consolidated basis.

The same chart reports ROE of 12.6% in FY26. Rising AUM may consume capital even when the portfolio is secured. The analyst should link projected disbursements and product risk weights to capital usage, retained earnings, dividend policy and direct-assignment/co-lending choices. Public CRAR is a year-end indicator, not a guarantee of future capacity.



No internal capital target or trigger is available in the supplied repository; none is inferred here.

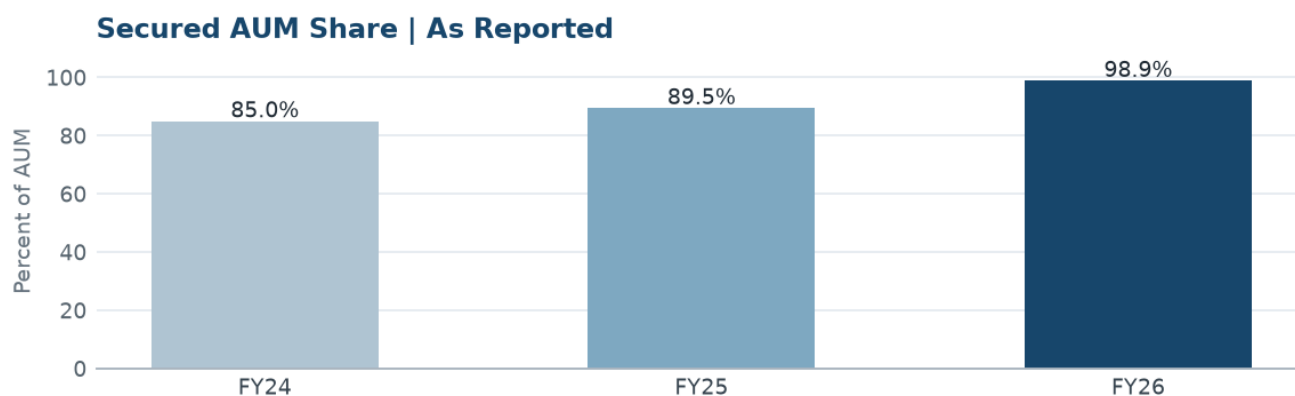
Source: FY26 Annual Report, supplied PDF p.15; FY25 Annual Report, p.13.

CHAPTER 5 · FY26 ANALYSIS

Secured-AUM Progression and Mix

Company disclosures describe a rising secured share: 85.0% in FY24, 89.5% in FY25 and 98.9% in FY26. The FY26 change accompanies the reported ₹886 crore business-loan portfolio exit and a stronger Gold/LAP focus. This is a material change in portfolio structure and likely alters the composition of credit and operational risks; it does not eliminate borrower default, collateral valuation, recovery timing or fraud risk.

The three annual reports are not a uniform account-level panel, and the secured percentage is a rounded company-level disclosure. The figures are presented as reported, with no attempt to infer product balances from the residual. A robust follow-up would examine each product's cohort loss, LTV, cash-flow coverage, maturity, regional mix and collection cost.



Reported company disclosures: FY24 85%; FY25 89.5%; FY26 98.9%. Comparability should be confirmed against the applicable AUM definition.

Source: FY24 Annual Report, supplied PDF p.31; FY25 Annual Report, p.33; FY26 Annual Report, pp.4, 8.

CHAPTER 5 · FY26 ANALYSIS

Gold Portfolio: Growth and Collateral Sensitivity

FY26 Gold AUM reached ₹10,352 crore, or 51.4% of total AUM, up 76% year on year. Disbursements were ₹28,326 crore and average ticket size ₹2.7 lakh. Doorstep Gold AUM was ₹1,730 crore (+108% YoY); gold under custody was 12.6 tonnes (+12%). The company attributes the broader FY26 market backdrop partly to a nearly 65% rise in domestic gold prices during calendar 2025, so value growth should not be read as pure volume growth.

The FY26 annual report discloses portfolio LTV of 60.9%. In the earnings call published 15 July, management said domestic gold prices had fallen about 15% between 31 January and 30 June 2026 and portfolio LTV on AUM had risen to 67.9%. The latter is post-internship commentary; dates and bases differ, so the values are not a like-for-like trend or account-level compliance test. Management also described adopting periodic interest-due structures following the RBI Directions; its explanation is commentary, not independent assurance.

FY26 Gold disclosure	Published value	Risk interpretation
AUM / portfolio share	₹10,352 Cr / 51.4%	Major concentration; test product and vintage quality
Disbursements / average ticket	₹28,326 Cr / ₹2.7 lakh	High flow; distinguish renewal, top-up and new borrowing
Doorstep Gold AUM	₹1,730 Cr; +108% YoY	Field custody, valuation and staff controls
Gold under custody	12.6 tonnes; +12% YoY	Physical inventory and packet reconciliation
Portfolio LTV	60.9% at FY26 year-end	Company portfolio measure; not a borrower-level cap

The RBI's tiered LTV ceilings apply to consumption loans by total borrower amount, not all gold-backed lending. See p.29; the Q1 FY27 price/LTV observations are management commentary published after the internship.

Source: FY26 Annual Report, supplied PDF pp.9, 13, 116; Fedfina Q1 FY27 earnings-call transcript, 15 July 2026, Gold Loans discussion.

CHAPTER 5 · FY26 ANALYSIS

Mortgage Portfolio and ST/MT LAP Signals

FY26 Mortgage AUM comprised MT LAP of ₹5,570 crore and ST LAP of ₹3,792 crore. MT LAP disbursements were ₹2,180 crore with a ₹72.4 lakh average ticket; ST LAP disbursements were ₹904 crore with a ₹16.1 lakh average ticket. The annual report describes 82.2% of Mortgage AUM as backed by self-occupied residential or commercial property. Ticket, cash flow, collateral, tenor and recovery timing differ across the two books.

The FY26 product AUM figures and company-wide total do not fully reconcile: Gold, MT LAP and ST LAP sum to ₹19,714 crore versus reported AUM ₹20,153 crore. The ₹439 crore difference is left unexplained, not assigned to home loans or another category. Q1 FY27 management commentary (post-internship) gave Mortgage AUM of ₹9,777 crore (+14% YoY) and separate ticket/yield ranges; those statements are not substituted for FY26 product disclosures.

FY26 mortgage metric	ST LAP	MT LAP
AUM / share of total AUM	₹3,792 Cr / 18.8%	₹5,570 Cr / 27.6%
Annual disbursements	₹904 Cr	₹2,180 Cr
Average ticket	₹16.1 lakh	₹72.4 lakh
Origination yield	15.1%	12.0%
Q4 FY26 disbursements	₹289 Cr; +39% QoQ	₹632 Cr; +16% QoQ

These are FY26 annual-report operating disclosures, not monthly intern MIS. Q1 FY27 management statements are post-internship context and are labelled separately on p.61.

Source: FY26 Annual Report, supplied PDF pp.8, 13; Fedfina Q1 FY27 earnings-call transcript, 15 July 2026.

CHAPTER 5 · FY26 ANALYSIS

Expected Credit Loss and Staging

Fedfina's FY26 accounting note describes expected credit loss as an estimate based on $EAD \times PD \times LGD$, incorporating historical and forward-looking information. Stage 1 covers 0-29 DPD; Stage 2 includes 30-89 DPD and specified restructured cases; Stage 3 includes 90+ DPD and stated linked/qualitative/restructured cases. Significant increase in credit risk uses 30+ DPD plus qualitative factors such as one-time restructuring and gold-loan LTV/margin thresholds. These are company accounting disclosures, not an internal monthly MIS supplied for this study.

The FY26 Stage 3 collateral table reports different accounting classes separately. Collateral fair value is a disclosed valuation amount, not guaranteed recovery proceeds, and should not be treated as a direct offset without applying the accounting, legal and realisation assumptions in the source note.

Accounting class	Maximum exposure (₹ Cr)	ECL (₹ Cr)	Carrying amount (₹ Cr)	Collateral fair value (₹ Cr)
Amortised cost	178.78	86.89	91.89	334.74
FVOCI	135.17	42.01	93.16	129.33

Stage 3 values converted from ₹ lakh by dividing by 100. Keep Amortised Cost and FVOCI classes distinct; collateral value is not an assured recovery amount.

Source: FY26 Annual Report, supplied PDF pp.116-117 (printed report pp.226-228).

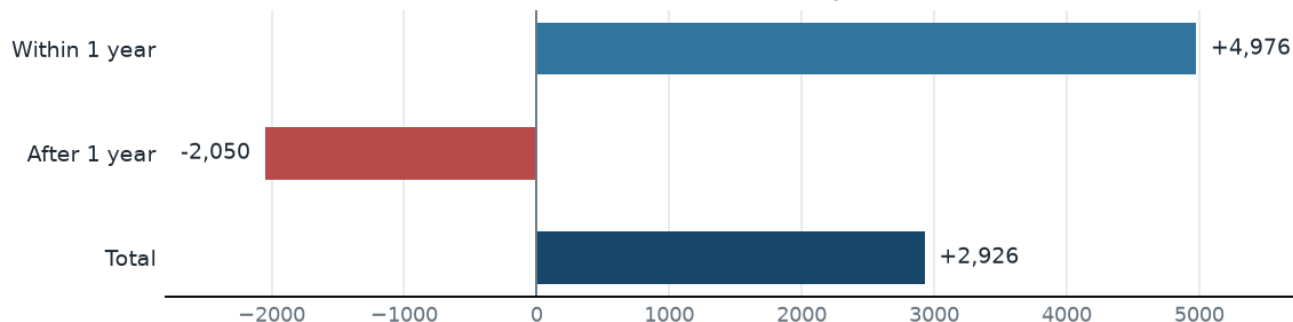
CHAPTER 5 · FY26 ANALYSIS

Liquidity: Disclosed Maturity Analysis

The FY26 maturity note reports positive net assets within one year and a negative net liability position after one year. The gross asset, liability and net-gap values below are converted from ₹ lakh to ₹ crore. A positive total net balance does not remove the refinancing, timing or stress question in the negative after-one-year bucket.

Compare contractual buckets with behavioural cash flows, liquid-asset encumbrance, undrawn committed lines, collection delay, rollover concentration and stress outflows. This note is a static reporting-date analysis; it is not the full structural-liquidity statement or a survival-horizon calculation.

Net Position in Disclosed Maturity Analysis | ₹ crore



Maturity bucket, 31 Mar 2026	Assets (₹ Cr)	Liabilities (₹ Cr)	Net gap (₹ Cr)
Within 1 year	10,529.12	5,552.87	+4,976.24
After 1 year	6,345.66	8,395.79	-2,050.13
Total	16,874.77	13,948.69	+2,926.08

FY25 comparatives: within-one-year net +₹3,076.65 Cr and after-one-year net -₹529.27 Cr. The longer-tenor deficit widened; source rounding can produce small sum differences.

Source: FY26 Annual Report, supplied PDF pp.114-115; FY25 Annual Report, supplied PDF p.114 (printed report p.222).

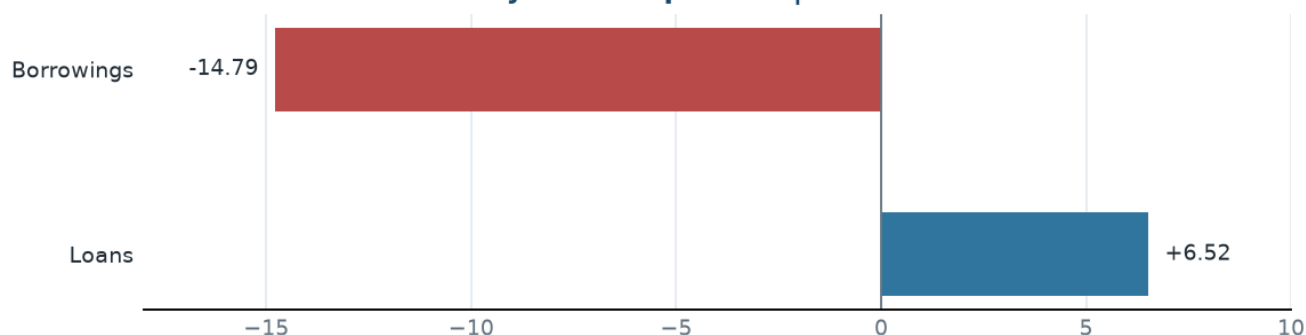
CHAPTER 5 · FY26 ANALYSIS

Interest-Rate Sensitivity: Disclosed 25 bp Shock

The FY26 financial-statement note presents separate profit-after-tax sensitivities for loans and borrowings at a 25-basis-point increase/decrease, holding other variables constant. For a 25 bp upward shock, the table shows a ₹652 lakh positive loan sensitivity and a ₹1,479 lakh negative borrowing sensitivity; the reverse shock reverses each sign. These are separate gross sensitivities as disclosed.

A naïve netting of the two values would ignore repricing timing, instrument mix, floors/caps, hedge positions and model assumptions. The proper analysis is a reconciled ALCO earnings-at-risk view, with parallel and non-parallel shocks, behavioural assumptions and documented limits. The sensitivity is a useful illustration of why both sides of the balance sheet matter.

Disclosed PAT Sensitivity to +25 bp Shock | ₹ crore



₹652 lakh = ₹6.52 crore; ₹1,479 lakh = ₹14.79 crore. Do not treat the separate values as a verified combined forecast.

Source: FY26 Annual Report, supplied PDF p.118.

CHAPTER 5 · FY26 ANALYSIS

Funding Mix, Cost and Refinance Risk

FY26 management disclosures report the lender base increasing from 39 to 41, an expanded USD 250 million ECB programme (about 17% of total debt), commercial paper at about 9% of debt, and a fixed-rate borrowing component near 40% versus 10% in FY25. Daily average borrowing cost eased from 8.72% in Q4 FY25 to 7.83% in Q4 FY26. Direct assignments for the year were ₹1,901 crore versus ₹2,349 crore in FY25. These movements show funding diversification and repricing, not the absence of refinancing or FX risk.

The FY26 overview's borrowing mix also reports 50% term loans, 14% direct assignments and 13% NCDs/CPs; the remaining categories should be read from the source chart and not inferred from these rounded labels. Monitor lender/instrument/currency concentration, maturity, reset, covenants, security encumbrance and hedge counterparties. Contracted funding, sanctioned undrawn lines and assumed refinancing should remain separate.

- Track top-lender share, refinancing calendar and security/covenant headroom.
- Map ECB principal, hedge maturity, rollover and counterparty risk.
- Link fixed/floating mix and liability reset dates to asset repricing and NII sensitivity.
- Reconcile direct-assignment and co-lending balances to AUM, cash flows and risk transfer.

These are FY26 management disclosures. Q1 FY27 assignment income and transfer activity are separately labelled post-internship context on p.61.

Source: FY26 Annual Report, supplied PDF pp.10, 13, 15; FY26 financial-risk note, p.118.

CHAPTER 5 · FY26 ANALYSIS

Operational, Collection and Digital Indicators

FY26 management disclosures describe about 75% of business originated by in-house teams, DSA dependence near 25%, an internal collections team at 1.8 times FY25 levels and external-agency reliance at 0.4 times. Monthly Stage 3 recoveries reportedly rose from ₹6.5 crore to ₹14.5 crore; the report also highlights collection efficiency of 99.7%. These are company-reported operating metrics; the underlying population, calculation window and independent validation are not supplied here.

Digital mandate and collection adoption can improve evidence and reduce delay, but reconciliation, access control, vendor continuity, customer consent and failed-payment follow-up remain necessary. Recovery improvement should be paired with conduct, complaint, cost-to-collect and repeat-bounce indicators; no monthly bounce rate is inferred from the annual collection-efficiency figure.

FY26 company disclosure	Reported movement / level	Monitoring boundary
Direct / in-house sourcing	~75% in-house; DSA ~25%	Reconcile channel and product definitions
Internal collections team	1.8× FY25 level	Capacity, training and quality assurance
External agency reliance	0.4× FY25 level	Third-party conduct and continuity
Monthly Stage 3 recoveries	₹6.5 Cr to ₹14.5 Cr	Management-reported; confirm window/basis
Digital collections	>70% of monthly collections	Digital share is not bounce/cure rate
Collection efficiency	99.7% reported	Annual headline; not monthly bounce performance

No monthly presentment, return-code, bounce, cure or complaint dataset was supplied. Do not invent an actual result from these annual disclosures.

Source: FY26 Annual Report, supplied PDF pp.10, 13-14.

CHAPTER 5 · FY26 ANALYSIS

Geographic, Branch and Operating Concentration

Fedfina reports 757 branches across 17 states/UTs at FY26 year-end. The annual-report series shows top-five-state AUM concentration at 75.1% for FY26, down from 76.0% in FY25. This is gradual geographic diversification, yet a material majority of AUM remains in five states. A state-level average can also conceal district, branch or borrower-industry concentration.

Branch performance should be segmented by vintage and product, including new and co-located branches. Productivity is not just AUM per branch: compare disbursements, active accounts, collection efficiency, staff capacity, audit exceptions, cash/collateral controls, complaint rates and local market conditions. The disclosed 148 additions need opening/closure reconciliation before productivity comparisons.

Measure	FY25	FY26	Interpretation
Year-end branches	694	757	Network expanded; vintage and net movement matter
States / UTs	18	17	Footprint count alone does not show exposure share
Top 5 states' AUM	76.0%	75.1%	Slow diversification; concentration remains material

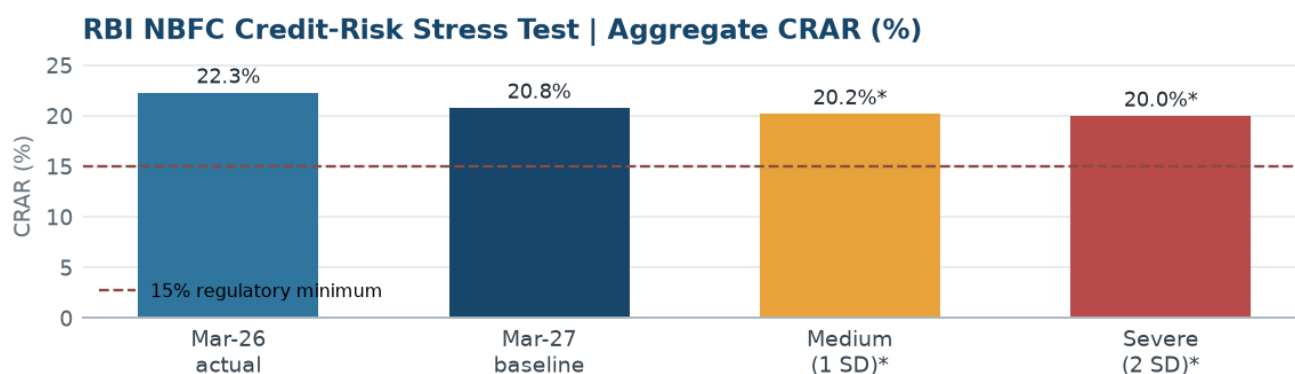
Source: FY25 Annual Report, supplied PDF p.13; FY26 Annual Report, pp.7, 13.

CHAPTER 5 · FY26 ANALYSIS

Stress Testing and Scenario Design

RBI's June 2026 FSR reports a credit-risk stress test on 174 NBFCs over one year. Under its business-as-usual baseline, the sample GNPA ratio was 2.4% in March 2026 and projected at 2.8% in March 2027; aggregate CRAR was 22.3% and projected at 20.8%. Medium and severe scenarios apply 1-SD and 2-SD GNPA shocks.

The plotted 20.2% and 20.0% are author calculations: RBI's reported additional CRAR reductions of 60 bp and 80 bp are subtracted from the 20.8% baseline. The sample-level minimum is 15%; the RBI says seven firms may breach it under baseline and 15 under medium/severe stress. This is sector stress evidence, not a Fedfina result, forecast or probability estimate.



RBI result	Published actual / scenario	Boundary
March 2026 sample	GNPA 2.4%; CRAR 22.3%	174-NBFC system sample; not Fedfina
March 2027 baseline	GNPA 2.8%; CRAR 20.8%	Business-as-usual projection
Medium / severe credit stress	Additional CRAR loss 60 / 80 bp	1-SD / 2-SD GNPA shocks
NBFCs below 15% CRAR	7 baseline; 15 medium/severe	Firm-count distribution, not system aggregate
Liquidity mismatch >20%	2 baseline; 5 medium; 6 high	Next-year gap; stress uses 5% / 10% lower inflows and higher outflows
Top-three individual / group borrowers	CRAR -230 / -240 bp; 8 NBFCs below 15%	Extreme concentration scenarios

Chart values 20.2% and 20.0% are calculated as 20.8% – 0.6 pp and 20.8% – 0.8 pp; they are labelled stress scenarios, not observed outcomes. RBI stress-test results are hypothetical.

Source: RBI, Financial Stability Report, June 2026, Chapter II, paras. 2.64–2.68, Chart 2.30, Table 2.9 and Chart 2.31; official report page ID 1325.

CHAPTER 5 · FY26 ANALYSIS

Post-Internship Q1 FY27 Results and Watchlist

The stated internship ended 3 July 2026. Fedfina's Q1 FY27 quarter ended 30 June, but its results and earnings-call materials were published 15 July—after the placement. They are included only as post-internship context. The financial results are unaudited and accompanied by a limited-review report with an unmodified conclusion; a limited review is not an audit.

Filed financial results reported operating revenue ₹669.93 crore, finance cost ₹272.69 crore, impairment ₹34.06 crore, PBT ₹153.48 crore and PAT ₹114.38 crore; EPS ₹3.05 is not annualised. Filed ratios are shown separately from operating figures and attributed management commentary below.

Management attributed the Stage 2 ratio movement (2.2% to 2.7%) partly to the move to periodic interest-due structures and regulatory change; this is commentary, not an independently established causal result. Management said the revised RBI bullet-loan LTV calculation took effect on 1 April 2026, described adopting periodic interest-due structures while remaining below regulatory limits, and attributed some elevated overdue levels to that transition. Management also cited approximately 0.8% credit cost, rounded GNPA 1.6% and NNPA 1.0%, and negative direct-assignment income of ₹13 crore while describing reduced assignment reliance as deliberate. The filed GNPA/NNPA ratios are the more precise 1.55%/0.96%.

Published Q1 FY27 metric	Value / comparator	Evidence label
AUM	₹21,136 Cr; +35% YoY	Management commentary
Disbursements	₹6,760 Cr; +14% YoY	Management commentary
Gold / Mortgage AUM	₹11,191 Cr (+77%) / ₹9,777 Cr (+14%)	Management commentary
Net interest income	₹371.9 Cr; Q1 FY26 ₹268.2 Cr (+38.7%)	Company Q1 press release
Operating profit	₹187.5 Cr; Q1 FY26 ₹125.1 Cr (+49.9%)	Company Q1 press release
PAT	₹114.38 Cr; Q1 FY26 ₹75.01 Cr; Q4 FY26 ₹100.53 Cr	Filed result; limited review

Filed ratio	30 Jun 2026	31 Mar 2026
CRAR	20.71%	22.40%
GNPA / NNPA	1.55% / 0.96%	1.87% / 1.28%
Liquidity coverage ratio	157%	152%
Provision coverage ratio	38.36%	32.29%
Debt-equity ratio	4.89×	4.61×

Filed Q1 FY27 loan transfer by assignment: ₹588.81 Cr; 37-month weighted-average residual maturity, 6-month holding period, 10% retention and 100% tangible-security coverage (as disclosed). Management's gold-price decline and LTV explanation appears on p.52.

Q1 operating metrics and explanations are post-internship publication context, not observed internship outputs. AUM segment figures (Gold + Mortgage = ₹20,968 Cr) do not sum to total AUM ₹21,136 Cr; no residual is allocated.

Source: Fedfina, Financial Results for the Quarter Ended 30 June 2026 and Limited Review Report, 15 July 2026 (unaudited), Regulation 52(4) ratios and assignment/security-cover disclosures; official file:

https://www.fedfina.com/site/assets/files/421786/financial_results_for_the_quarter_ended_june_30_2026.pdf. Fedfina Q1 FY27 Press Release and Earnings Call Transcript, 15 July 2026; transcript discussion of AUM, product mix, Stage 2, gold price/LTV and direct assignment: https://www.fedfina.com/site/assets/files/130670/fedbank_q1_fy27_earnings_call_transcript.pdf.

CHAPTER 6 · INTERNSHIP

Internship Profile and Role

The student-provided internship particulars are: Dattaguru Patil, S.Y. MMS (SYMMS), Roll No. M16144; Risk Analyst at Fedbank Financial Services Ltd; 4 April 2026 to 3 July 2026. The task list provided describes recurring reporting and analysis work. The report documents those responsibilities as a workflow and does not assert a particular unpublished monthly outcome or committee decision.

A risk analyst supports decisions by making the data accurate, comparable, timely and actionable. The analyst does not change a policy limit, make a lending decision outside delegated authority, or treat a chart as a conclusion without checking the underlying population, denominator and exception context.

Internship detail	Student-supplied information
Student	Dattaguru Patil; S.Y. MMS (SYMMS)
Roll number	M16144
Organisation	Fedbank Financial Services Ltd
Role	Risk Analyst
Period	4 Apr 2026 – 3 Jul 2026

Confirm institute naming and certificate/signature details with the college before final submission.

CHAPTER 6 · INTERNSHIP

Monthly Portfolio Graphs: Preparation Workflow

A monthly graph should answer one defined question and allow a reviewer to reproduce the number. Begin with an approved data extract, record its cut-off and version, reconcile totals to the source system, freeze definitions, and segment the portfolio consistently. Show current month, prior month, same month last year where relevant, and plan/trigger only when authorised.

The student supplied the phrase “Graphs & ever Graphs”. This page covers the confirmed general requirement for monthly graphs without deciding what the second graph category means. Keep stock and flow separate, show numerator/denominator and population, annotate restatements and business exits, and avoid implying that a change in the graph alone establishes cause.

- AUM/disbursement: show stock and flow separately by product and vintage.
- Asset quality: GNPA/NNPA, Stage 2, roll rates and cure by approved definition.
- Collections: due, collected, channel, return-code and cure only where authorised data exist.
- Operations: turnaround, exceptions, complaints, reconciliations and action ageing.

Appendix B (p.91) is a generic catalogue. Any internal field or trigger must use the company's approved definition and authorised source.

Source: FY25 Annual Report, supplied PDF p.33; FY26 Annual Report, p.13.

CHAPTER 6 · INTERNSHIP

“Graphs & ever Graphs”: Terminology Pending Confirmation

The student-supplied task phrase is “Preparation of Graphs & ever Graphs on monthly basis”. The meaning of “ever graphs” has not been confirmed. Early Warning Signals (EWS) is one possible interpretation because the FY25 annual report discusses EWS monitoring, but this report does not treat that interpretation as fact or as a verified internship duty. Confirm the exact internal label with the internship supervisor before final submission.

If—and only if—the supervisor confirms EWS, a useful EWS graph would show signal movement, threshold status, affected exposure, segment, ageing, root cause and action. Counts and exposure should be plotted separately; new alerts should be distinguished from persistent alerts; and false positives, confirmed deterioration and cure should be validated over an approved observation window. Thresholds must come from approved policy/model governance.

Possible EWS view (conditional)	Example display if confirmed
New / open / closed alerts	Monthly count and exposure by product/vintage
Ageing	Days since trigger; owner and overdue action
Conversion	Alert later entering arrears / remaining current
Cure / false positive	Validated outcome using an approved observation window

Terminology is unresolved. Replace the optional EWS material if the supervisor confirms that “ever graphs” referred to a different report or chart type.

Source: FY25 Annual Report, supplied PDF p.33 (source for the existence of company EWS discussion, not for the student's task interpretation).

CHAPTER 6 · INTERNSHIP

Monthly Risk Paper: Suggested Structure

The monthly risk paper should be decision-oriented and short enough to review. Start with a one-page executive summary, then show portfolio trends, product/vintage quality, policy-trigger status, collections/bounce, funding/ALM where in remit, operational incidents, customer outcomes and open actions. Include an EWS section only if the supervisor confirms that the task term “ever graphs” meant EWS.

A strong narrative separates fact, interpretation and action. State the movement and denominator; identify the segment driving it; compare with an approved limit; explain plausible causes; state what remains unverified; and ask for a specific decision. Do not state that a strategy caused a change unless the data and review support the link.

- 1. Executive summary and key decisions.
- 2. Portfolio, disbursement and vintage quality.
- 3. Bounce, cures, collections and write-offs; optional EWS only if confirmed.
- 4. Funding, liquidity, capital and market-risk exceptions.
- 5. Operational/cyber/compliance incidents and action tracker.

Source: FY25 Annual Report, supplied PDF p.33; FY26 Annual Report, p.53.

CHAPTER 6 · INTERNSHIP

Quarterly RMC Pack: Preparation Checklist

RMC preparation converts ongoing monitoring into governance-level oversight. Before a meeting, reconcile monthly data, compare quarters, validate definitions and policy versions, refresh the risk register, collect owner commentary, test prior-action closure and identify decisions requested. Disagreement and uncertainty should be visible rather than suppressed.

The FY26 annual report discloses five RMC meetings on 28 April, 28 July and 17 October 2025, then 7 and 15 January 2026. This is an annual-report governance record, not the committee's minutes or proof of the specific student work delivered. The committee's published remit covers policy, product delinquency/NPA, liquidity, operational/cyber risk, BCP and Board reporting.

Pack section	Minimum evidence
Executive dashboard	Movement, exceptions, decisions and owners
Credit / product	AUM, vintage, delinquency, ECL and concentration
Liquidity / market	ALM gaps, stress, funding, rate/FX sensitivity
Non-financial	Fraud, cyber, BCP, compliance, conduct and complaints
Actions	Owner, due date, status, evidence and escalation
FY26 disclosed RMC record	5 meetings; dates listed above; no minutes reproduced

Source: FY26 Annual Report, supplied PDF p.53 (printed report p.100); FY25 Annual Report, supplied PDF p.33.

CHAPTER 6 · INTERNSHIP

Risk Policy Triggers Versus Actual Performance

A trigger-versus-actual report translates the approved appetite into an exception-control process. For each indicator, capture the exact policy clause, threshold and direction; actual value and population; measurement date; headroom; previous status; duration; business explanation; independent risk view; and corrective action. A breach should be recorded even if it is later cured, so recurring patterns remain visible. The annual reports disclose that the Company has risk appetite and portfolio-quality triggers, but the supplied material does not contain the internal numeric thresholds. This report therefore provides a blank register and does not infer limits from public outcomes such as GNPA, credit cost or CRAR. Those outcomes are not substitutes for a policy limit.

Indicator	Approved limit	Actual	Status / action
[Insert approved metric]	[Policy value]	[Month-end actual]	[Within / near / breach; owner]
[Insert approved metric]	[Policy value]	[Month-end actual]	[Root cause and due date]
[Insert approved metric]	[Policy value]	[Month-end actual]	[Escalation / closure evidence]

Populate only from authorised policy and MIS. No Fedfina internal threshold is included in this academic report.

Source: FY25 Annual Report, supplied PDF p.33; FY26 Annual Report, pp.53, 116.

CHAPTER 6 · INTERNSHIP

Bounce Analysis: Interpretation and Controls

Bounce analysis starts with a controlled population of payment presentments and a consistent mapping of return reasons. Report both count and amount rates because a few high-value returns can move the amount measure while many small returns can move the count measure. Separate first presentation, retry and final status to avoid double-counting. Reconcile the source to mandate, payment and loan-servicing systems.

Break the analysis by product, branch, channel, mandate type, due date, vintage and reason code. Track resolution in defined windows, subsequent DPD migration, repeat bounces, customer contact, complaints and costs. A technically failed debit should not be treated the same as insufficient funds; an automated or manual customer intervention must comply with approved contact and conduct controls.

- Confirm presentment denominator and retry rules.
- Classify technical, mandate, account and funds-related returns.
- Measure same-cycle cure and subsequent 1/30/60/90 DPD migration.
- Validate unusual spikes with operations before escalation.

No actual bounce counts or amounts are present in the supplied annual reports; Appendix G is a blank working template.

CHAPTER 6 · INTERNSHIP

Monthly and Quarterly Work Cadence

A repeatable cadence reduces last-minute reporting error. During a month-end cycle, data should be frozen only after the source owner signs off; reconciliation and exceptions should be logged; the analyst should draft graphs and narrative; a reviewer should challenge definitions and anomalies; and the final pack should be version-controlled. Post-meeting actions should be carried forward until independently evidenced as complete.

The internship dates span April to early July 2026. This report does not claim which particular live committee meetings or deliverables the intern attended because no activity log, meeting minutes or supervisor confirmation was supplied. The cadence below is a recommended description of the task workflow and should be aligned to the actual internship diary before submission.

Cycle	Analyst activity	Control
Month-end	Extract, reconcile, graph, explain exceptions	Source-owner sign-off and version log
Monthly review	Risk paper, bounce and action updates; optional EWS if confirmed	Peer/manager review; definitions locked
Quarterly RMC	Synthesis, decision requests and prior actions	Committee secretary / risk-owner validation
Closeout	Handover, learning reflection and records	Remove confidential data from academic copy

CHAPTER 7 · FINDINGS

Principal Findings

FY26 disclosures show AUM of ₹20,153 crore, 98.9% secured share, PAT of ₹343.6 crore, credit cost of 0.8% and a reported recovery in profitability. Product data show Gold AUM ₹10,352 crore (51.4% of AUM), MT LAP ₹5,570 crore and ST LAP ₹3,792 crore. These headline measures make product/vintage analysis more—not less—important as the portfolio scales.

The RBI's June 2026 NBFC evidence provides a sector lens: credit growth moderated to 16.6%, while its 174-firm stress test shows dispersion beneath aggregate capital strength. Fedfina's post-internship Q1 FY27 publication showed AUM ₹21,136 crore, filed GNPA 1.55% and CRAR 20.71%; these results were published after 3 July and do not evidence intern-period work. Watch ST LAP seasoning, Gold collateral/custody, longer-tenor ALM, reserve coverage, collections quality and funding/capital use.

- Growth and earnings improved in FY26; sustainability still requires cohort and cash-flow evidence.
- Secured share rose to 98.9%, while collateral, legal, custody and operational risk remain material.
- FY26 NNPA was 1.3% and PCR 32.3%; interpret with GNPA, write-offs and Stage mix.
- RBI stress statistics are sector scenarios; Fedfina Q1 data are post-internship company context.

Source: FY26 Annual Report, supplied PDF pp.4, 8–15, 114–118; RBI FSR, June 2026; Fedfina Q1 FY27 results, 15 July 2026.

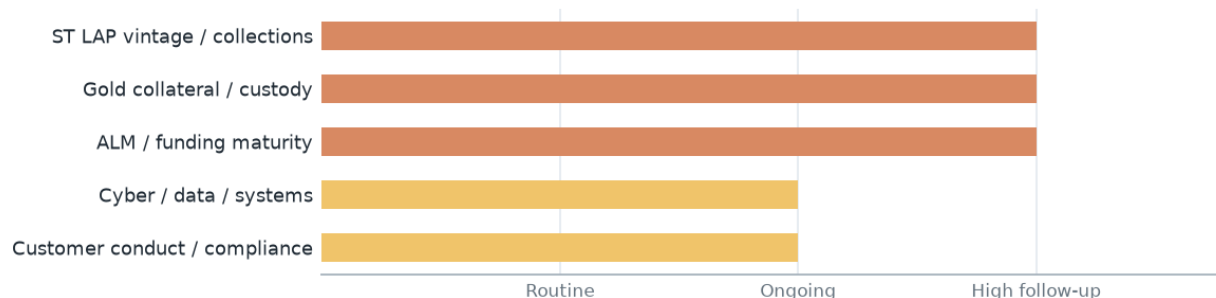
CHAPTER 7 · FINDINGS

Qualitative Risk Register and Heat Map

This qualitative priority map is the author's external analytical view using public disclosures. It is not Fedfina's internal risk score, probability, appetite or residual-risk rating. The purpose is to make follow-up topics and evidence gaps visible—not to assign a company risk grade.

Product growth, negative longer-tenor contractual gap and RBI sector stress scenarios support monitoring of credit/vintage, collateral, ALM/funding and capital. Q1 FY27 statements are post-internship; the sector stress chart refers to an RBI sample. Any formal priority or mitigation decision belongs to authorised management and the Board committee.

External Analyst Follow-up Priority (Qualitative; Not a Fedfina Rating)



Analyst watch area	Public evidence	Follow-up priority
ST LAP vintage / collections	FY26 ST LAP AUM ₹3,792 Cr; post-rebuild product	High follow-up; seek cohort/DPD data
Gold collateral / custody	₹10,352 Cr AUM; 12.6 tonnes custody; Q1 LTV commentary	High follow-up; reconcile valuation/custody
ALM / funding maturity	FY26 after-one-year net gap –₹2,050.13 Cr	High follow-up; behavioural stress
Capital / sector dispersion	RBI NBFC stress sample: some firms below 15% CRAR	Ongoing; not a Fedfina rating
Cyber / data / conduct	Digital and branch-led operating model	Ongoing control and customer outcomes

Qualitative external analyst prioritisation only; not an approved company risk rating or probability estimate.

Source: FY26 Annual Report, supplied PDF pp.8-15, 114-118; RBI FSR, June 2026, paras. 2.64-2.68.

CHAPTER 7 · FINDINGS

Recommendations: Credit Origination and Underwriting

Maintain a consistent origination control chain as the channel mix changes. The Business Rule Engine should apply version-controlled policy rules, retain reason codes and record authorised overrides. Independent sampling should test data capture, bureau results, repayment capacity, collateral, documentation and approval authority, with different check depth for new products, new branches and higher-risk cohorts.

For rebuilt portfolios, use graduated limits and vintage gates. Review first-payment default, early-bucket delinquency, bounce, roll-rate and fraud alerts before increasing branch or channel exposure. Use independent model validation, exception analytics and feedback from collections to recalibrate underwriting only through approved governance. Scale should follow evidence of stable cohorts, not target achievement alone.

- Track approval rate and policy exception rate by product/channel/vintage.
- Separate manual overrides from automated pass/fail decisions.
- Use early-vintage gates and independent post-disbursement sampling.
- Feed verified collection/root-cause evidence back to product policy.

Source: FY26 Annual Report, supplied PDF pp.13, 35; FY25 Annual Report, p.33.

CHAPTER 7 · FINDINGS

Recommendations: Gold Collateral and Custody

As Gold AUM expands, retain a control design that is independent of branch sales pressure. Standardise purity/weight testing, calibrated equipment, dual verification, photographic or system evidence where policy permits, sealed custody, access control, packet-to-ledger reconciliation, insurance and surprise physical verification. Exceptions should be resolved before disbursement or escalated to an authorised approver.

Stress LTV and recovery under multiple gold-price paths, delayed customer payments and auction-cost assumptions. Monitor tail exposures near approved margin limits, not just portfolio average. Review customer notice, fair auction process, collateral release and complaint patterns. A gold price rising during FY26 does not demonstrate resilience to a sustained decline; the scenario should include a lower price and possible borrower non-cooperation.

- Reconcile physical gold to system balances and loan accounts.
- Monitor LTV distribution, revaluation age and policy exceptions.
- Separate value growth due to price from weight, disbursal and redemption.
- Independently test recovery and auction documentation.

Source: FY26 Annual Report, supplied PDF pp.13, 116, 118.

CHAPTER 7 · FINDINGS

Recommendations: Mortgage Underwriting and Collateral

Strengthen the end-to-end property control trail: identity and ownership, legal title, encumbrance search, independent valuation, charge registration, end-use, insurance if required, and post-disbursement follow-up. Property valuation should be stress-haircut and aged; self-occupied status is useful context but does not replace legal or repayment checks.

For ST and MT LAP, report separate cohorts by origination quarter, source channel, branch, ticket size, occupation, state and collateral type. Compare early delinquency, bounce, Stage migration, cure, write-off and recovery. Give additional independent attention to new policy versions and co-located branches until performance matures. Record restructuring, top-up and repeat borrowing distinctly.

Control theme	Suggested evidence
Cash-flow capacity	Verified inflows/outflows, leverage and debt-service basis
Property quality	Title/search, valuation, charge and exceptions
Vintage monitoring	30/60/90 DPD, Stage 2, cure and loss by quarter
Rebuild governance	Policy version, override, branch and channel comparison

Source: FY26 Annual Report, supplied PDF p.13.

CHAPTER 7 · FINDINGS

Recommendations: Collections and Bounce Controls

Institutionalise a single bounce and collection taxonomy across payment systems and servicing platforms. Reconcile valid presentments and return codes; distinguish first attempt, retry, technical return and final resolution; and measure both count and amount rates. Pair the report with account-level DPD migration and recoveries in the authorised environment. Report trends early enough to adjust service and collection capacity.

Collections effectiveness should be balanced with customer fairness. Define permitted contact channels and time windows, record promises-to-pay accurately, prohibit inappropriate pressure, monitor complaints and independently review third-party agencies. Measure sustainable cure rather than only same-day cash. The FY26-reported Stage 3 recovery increase is encouraging management evidence, but ongoing validation should include cost, repeat default and conduct outcomes.

- Create cause-coded return reporting and a stable denominator.
- Use segment-specific cure and roll-rate views.
- Reconcile agency and digital collections to bank/ledger receipts.
- Escalate repeat bounces and vulnerable-customer issues under approved rules.

Source: FY26 Annual Report, supplied PDF p.13; FY25 Annual Report, p.33.

CHAPTER 7 · FINDINGS

Recommendations: Liquidity, ALM and Contingency Funding

Use a forward-looking ALM view that reconciles contractual and behavioural cash flows, maturity concentrations, asset prepayment, collection delays and off-balance-sheet commitments. Keep a daily/weekly operating view for cash and near-term maturities, a monthly structural gap review, and a quarterly stress narrative for RMC. Each limit needs a named owner, escalation point and contingency action.

The FY26 maturity disclosure shows a positive within-one-year net but a negative beyond-one-year net. Management should assess the tenor and availability of funding against the longer asset profile, preserve unencumbered liquidity, test closure of wholesale channels and keep contingency funding options operationally ready. Do not treat total balance-sheet surplus as a substitute for a bucketed liquidity plan.

- Stress delayed collections and lower renewal/assignment capacity.
- Monitor top maturity buckets, committed lines and collateral encumbrance.
- Pre-agree escalation actions and communication responsibilities.
- Back-test behavioural assumptions and disclose model limitations.

Source: FY26 Annual Report, supplied PDF pp.114-115, 118.

CHAPTER 7 · FINDINGS

Recommendations: Interest-Rate, FX and Funding Risk

ALCO reporting should combine repricing ladders, fixed/floating shares, basis risk, earnings-at-risk, fair-value sensitivity and customer repricing constraints. The disclosed FY26 sensitivity table shows distinct directions for loan and borrowing exposures. Management should reconcile these gross effects to the approved model and hedges, then test parallel, steepener/flattener and delayed-pass-through scenarios.

For ECBs, report principal currency, hedge instrument, counterparties, maturity, collateral, rollover and hedge effectiveness. Diversification should be assessed by actual exposure shares and liquidity under stress, not the number of lenders alone. A change in fixed-rate funding can reduce exposure to immediate rate moves but may create future refinancing or pricing risk.

Monthly / quarterly view	Decision use
Repricing gap and EVE/EaR	Identify timing and earnings sensitivity
ECB and hedge dashboard	Check currency cash flows and residual exposure
Funding concentration / maturity	Assess refinancing dependence and action window
Cost-of-funds bridge	Separate repricing, mix, fees and tenor effects

Source: FY26 Annual Report, supplied PDF pp.13, 15, 118.

CHAPTER 7 · FINDINGS

Recommendations: Branch, Fraud and Operational Controls

Rapid distribution expansion needs matching control capacity. A branch-opening dashboard should include staff training, system access, cash/collateral readiness, maker-checker coverage, audit plan, local complaint routes and first-month reconciliation. Track gross openings, closures, relocation and co-location separately so network growth reconciles to the year-end footprint.

Fraud controls should span identity, application duplication, collateral substitution, employee access, disbursement account changes, suspicious repayment patterns and vendor activity. Maintain a single incident register that links event, loss, recovery, root cause, customer impact, regulatory reporting, control owner and closure evidence. Repeated near misses should be escalated even where no financial loss has yet crystallised.

- Apply role-based access and periodic recertification.
- Use independent surprise collateral/cash verification.
- Review repeat audit observations, not only new findings.
- Measure action closure quality and repeat-event rate.

Source: FY25 Annual Report, supplied PDF p.33; FY26 Annual Report, pp.4, 13.

CHAPTER 7 · FINDINGS

Recommendations: Cyber, Data and Third Parties

Map critical services and data flows from customer acquisition to collections, including vendors and payment partners. Set recovery-time and recovery-point objectives through approved business-impact analysis; test failover and restore from backups; and track vulnerability remediation by severity and age. Third-party due diligence should cover access, subcontractors, incident notification, data use, resilience and exit arrangements.

For management reporting, define data owners and lineage for every key risk indicator. Reconcile changes in logic, system migration, missing data and restatements. A zero-incident count is not proof of zero exposure if detection coverage or reporting is incomplete. The analyst should state coverage and known blind spots next to operational, cyber and customer metrics.

- Track critical-system availability and recovery exercises.
- Age open vulnerabilities and audit observations by severity.
- Maintain vendor inventory, materiality and exit plans.
- Reconcile key risk data to source systems with change logs.

Source: FY25 Annual Report, supplied PDF p.33; FY26 Annual Report, pp.13, 32.

CHAPTER 7 · FINDINGS

Recommendations: Conduct, Complaints and Responsible Lending

The Company's disclosed customer-centric indicators should be supplemented by outcome measures: time to resolve complaints, repeat complaint rate, fee/charge disputes, collection-conduct allegations, mandate consent and collateral-release turnaround. Use a common case taxonomy and root-cause ownership across branches, call centres, digital and external agencies. Report both average and aged tail cases.

Responsible lending requires suitable terms, clear communication, privacy, consent and affordable repayment. Growth targets should be balanced with quality and customer outcomes. Where a borrower is under stress, collections and restructuring actions must follow current law and policy. A public report cannot validate case-level conduct; independent sample review is therefore important.

Outcome indicator	Why it belongs in risk reporting
Complaint ageing / repeat rate	Detect unresolved process or product harm
Collection conduct cases	Control legal, conduct and reputation exposure
Collateral release timing	Protect customer property and trust
Turnaround-time misses	Identify servicing bottlenecks and missed payments

Source: FY26 Annual Report, supplied PDF pp.4, 21; FY25 Annual Report, p.33.

CHAPTER 7 · FINDINGS

Recommendations: Limits, EWS and Stress Governance

Every risk limit should have an owner, rationale, calibration method, data source, breach workflow and periodic review. EWS should be tested for timeliness, predictive value, false positives, segment stability and outcome. A policy trigger can be appropriate even if no breach occurred; an EWS can be useful without being a hard limit. Keep the two concepts distinct in reporting.

Quarterly stress testing should include gold-price, delinquency, recovery-time, funding-cost, refinancing, branch productivity and technology disruption scenarios. Combine risks where plausible, identify management actions and quantify implementation lags. RMC should receive a clear statement of what changed since the previous cycle, the uncertainty range and the decisions requested.

- Validate triggers and models through independent challenge.
- Record limit overrides, near-breaches and recurring exceptions.
- Link stress outcomes to liquidity, capital, pricing and recovery plans.
- Reassess assumptions after portfolio or policy changes.

Source: FY26 Annual Report, supplied PDF p.53; FY25 Annual Report, p.33.

CHAPTER 7 · FINDINGS

Implementation Roadmap and Ownership

The roadmap below is a recommended control-improvement sequence, not a statement of Fedfina's approved plan. Start with definitions and source reconciliation, because dashboards built on inconsistent populations create false confidence. Then strengthen product/vintage monitoring and connect exceptions to accountable actions. Governance should review the design after the first complete reporting cycle.

The Risk function can coordinate measurement and challenge; business owners remain responsible for source controls and remediation; Finance/ALCO own relevant capital and liquidity inputs; Compliance, Operations, Technology and Internal Audit provide specialist oversight. Each recommendation needs a sponsor, due date, deliverable, success measure and evidence of independent validation.

Horizon	Priority output	Illustrative success evidence
0-30 days	Lock KPI definitions, source lineage and policy versions	Signed data dictionary and reconciliation log
31-60 days	Pilot product/vintage, bounce and action dashboards	Reviewed sample; exceptions assigned and tracked
61-90 days	Integrate monthly risk paper and RMC action tracker	Stable pack, decisions and independently evidenced closure
Ongoing	Back-test EWS, stress and controls	Periodic validation and documented changes

This roadmap is a student recommendation; approval and ownership belong to Fedfina.

CHAPTER 8 · CONCLUSION

Answers to the Research Questions

RQ1: Fedfina's latest FY26 series shows AUM growth from ₹6,187.2 crore in FY22 to ₹20,153 crore in FY26 and PAT recovery to ₹343.6 crore after the FY25 dip. RQ2: secured AUM rose to 98.9%, while GNPA improved slightly and NNPA/provision coverage moved differently; this supports a mixed rather than one-sided credit conclusion.

RQ3: the FY26 contractual maturity table shows a negative after-one-year net gap and the report discloses separate 25 bp rate sensitivities. RQ4: monthly graph, trigger, bounce and RMC workflows can be made reproducible through controlled definitions and review. RQ5: monthly MIS, borrower-level cohorts, internal limits, bounce outcomes and RMC actions remain unavailable. RBI stress scenarios and Fedfina Q1 FY27 results are sector/post-internship context, not internship observations.

Answers reflect published annual-report evidence, RBI sector analysis and separately labelled post-internship context; they do not establish causality.

Source: FY26 Annual Report, supplied PDF pp.4, 14-15, 114-118; RBI FSR, June 2026; Fedfina Q1 FY27 results, 15 July 2026.

CHAPTER 8 · CONCLUSION

Conclusion

Fedbank Financial Services Limited's FY2025-26 disclosures show a larger, predominantly secured lending portfolio and higher reported profitability. Gold and Mortgage serve materially different customer, collateral and cash-flow profiles. The FY26 annual report describes work on underwriting, collections, distribution and funding; their durable effectiveness depends on validated cohort outcomes and appropriate governance.

The principal conclusion is conditional: the quality, funding and control of growth matter more than volume alone. Continued monitoring should focus on ST LAP seasoning, Gold valuation and custody, mortgage recovery, contractual and behavioural ALM, capital use, fair collections, technology resilience and customer outcomes. The RBI's sector scenarios are not company forecasts; Q1 FY27 publications are post-internship context only.

This is a public-source academic conclusion, not an investment opinion, assurance report or substitute for company risk judgement.

Source: FY26 Annual Report, supplied PDF pp.4, 8-15, 114-118; RBI FSR, June 2026.

CHAPTER 8 · CONCLUSION

Limitations and Further Study

The study uses company annual reports, RBI publications and public Q1 FY27 material. Annual reports provide audited financial statements alongside operational and management information with different assurance. Q1 FY27 financial results were unaudited and subject to limited review, and were published on 15 July after the 3 July internship end. Q1 earnings-call explanations are attributed management commentary.

No monthly MIS, borrower-level data, internal risk policy thresholds, RMC minutes/decks, branch observations, interviews, model validation, audit findings or monthly bounce results were supplied. Annual aggregates cannot establish causality, vintage quality, trigger breaches or a management action's effect. RBI stress tests are hypothetical sector scenarios, not Fedfina forecasts or probabilities.

Further study could use anonymised product/vintage and monthly DPD data, validate bounce-to-arrears migration and EWS performance if applicable, stress gold/property recovery and funding, and test trigger closure. Such work requires authorisation, data minimisation, confidentiality controls and supervisor confirmation of the phrase “Graphs & ever Graphs”.

- No internal numeric trigger, monthly bounce KPI or RMC decision is claimed.
- Historical yield/spread/cost values differ across annual-report editions; reconciliation is disclosed.
- Management commentary is not independent assurance; a limited review is not an audit.
- Future analysis should use authorised, defined and anonymised data.

CHAPTER 8 · CONCLUSION

Internship Learning Reflection

A risk-analyst role connects classroom finance with operational decision-making. The same movement can mean different things depending on whether it is stock or flow, gross or net, a company average or a cohort, a filed result or commentary. A credible analyst documents source, cut-off, denominator and review status before presenting a chart.

The student-supplied workstreams include monthly graphs, the unresolved “Graphs & ever Graphs” phrase, a monthly risk paper, quarterly RMC preparation, policy-trigger-versus-actual review and bounce analysis. EWS is not assumed; it is only a possible interpretation requiring supervisor confirmation. The strongest output is a verified exception, a plausible root cause, a proportionate action and evidence of closure without compromising customer fairness or confidentiality.

- Technical learning: trend, ratio, credit, liquidity and sensitivity analysis.
- Process learning: data validation, versioning, review and action tracking.
- Professional learning: escalation, confidentiality and balanced interpretation.

This reflection describes the task workflow and learning objectives; it does not claim unverified deliverables or internal results.

CHAPTER 8 · CONCLUSION

Final Risk Dashboard and Submission View

A concise senior-management view should separate FY26 annual results, RBI sector context and any post-internship company update. Q1 FY27 filed ratios were CRAR 20.71%, GNPA 1.55%, NNPA 0.96%, LCR 157%, PCR 38.36% and debt-equity 4.89x at 30 June 2026. Those figures were published 15 July after the internship end; the reviewed-but-unaudited basis and management commentary are identified on p.61.

Before submission, verify student and programme details, guide wording, signatures and employer documents; ask the supervisor to confirm “Graphs & ever Graphs”; update only from authorised internal records. Blank templates are not completed internship evidence and no confidential company information is included.

Final check	Status
Student / dates	Dattaguru Patil; M16144; 4 Apr–3 Jul 2026—verify institutional style
FY26 actuals and source citations	Included; annual-report definitions and historical conflicts noted
RBI NBFC context and scenarios	Sector-only data; hypothetical scenarios distinguished
Q1 FY27	Post-internship publication; unaudited limited review and commentary labelled
Graphs & ever Graphs	Unresolved; confirm before treating the second term as EWS
Internal bounce / policy / RMC evidence	Not supplied; templates remain blank
Employer certificate / signatures	Not fabricated; attach authentic originals if required

Report prepared 4 October 2026; primary company focus is FY2025–26. Q1 FY27 is post-internship context only.

REFERENCES

Bibliography: Annual Reports

The following official company and regulatory publications support the figures and risk analysis. Company-specific page citations refer to the supplied PDF files; printed report pages may differ from PDF page numbers. Q1 FY27 materials were published after the internship and are included only as separately labelled context.

Reference	Use and access
Fedbank Financial Services Limited, Annual Report 2023-24 (FY24), supplied PDF.	Historical AUM, secured share and risk framework; key PDF pp.13-14, 24, 31.
Fedbank Financial Services Limited, Annual Report 2024-25 (FY25), supplied PDF.	Transition-year indicators, monthly EWS/RMC references; key PDF pp.12-13, 33.
Fedbank Financial Services Limited, Annual Report 2025-26 (FY26), filed 4 Sep 2026, supplied PDF.	Primary FY26 snapshot/products, five-year series, governance, ALM, ECL and sensitivity; PDF pp.4, 7-15, 53, 114-118.
Reserve Bank of India, Financial Stability Report, June 2026, Chapter II, official report page ID 1325.	NBFC sector growth and credit/liquidity stress scenarios; paras. 2.55-2.68, Charts 2.28-2.31, Table 2.9. https://www.rbi.org.in/Scripts/PublicationReportDetails.aspx?ID=1325
Reserve Bank of India (Lending Against Gold and Silver Collateral) Directions, 2025, Notification ID 12859.	Applicability, policy, consumption-loan LTV tiers and ongoing LTV; paras. 4-5, 8, 17-20. https://rbi.org.in/Scripts/NotificationUser.aspx?Id=12859
Fedfina, Q1 FY27 Financial Results for quarter ended 30 June 2026 and Limited Review Report, 15 Jul 2026.	Unaudited filed statement, Regulation 52(4) ratios, assignment transfer and security-cover disclosures. https://www.fedfina.com/site/assets/files/421786/financial_results_for_the_quarter_ended_june_30_2026.pdf
Fedfina, Q1 FY27 Press Release and Earnings Call Transcript, 15 Jul 2026.	Operational/product AUM and management explanations, kept separate from the filed financial results. https://www.fedfina.com/site/assets/files/130670/fedbank_q1_fy27_earnings_call_transcript.pdf

All company sources are public disclosures; RBI stress-test values are hypothetical and not company-specific. Q1 FY27 was published 12 days after the stated internship end.

REFERENCES

Source Reconciliation and Calculation Notes

Selected historical yield, cost-of-borrowings and spread values differ across annual-report editions. FY24's report gives 16.2%, 8.8% and 7.4%; FY25 repeats those FY24 values and reports FY25 at 17.4%, 9.2% and 8.1%. FY26's five-year charts instead show FY24 at 16.7%, 8.6% and 8.1%, and FY25 at 17.1%, 9.0% and 8.2%. The supplied reports do not fully reconcile these historical differences.

The report uses the latest FY26 chart series consistently rather than silently blending editions. Calculations: FY26 AUM growth = $(201,530 \div 158,115) - 1 \approx 27.5\%$; FY22–FY26 AUM CAGR = $(201,530 \div 61,872)^{(1/4)} - 1 \approx 34.3\%$; PAT growth = $(3,436 \div 2,252) - 1 \approx 52.6\%$. ₹ million $\div 10$ = ₹ crore; ₹ lakh $\div 100$ = ₹ crore.

The RBI stress chart uses observed sample CRAR 22.3% (Mar-26), baseline projected 20.8% (Mar-27), and author-calculated medium/severe values 20.2%/20.0% after subtracting RBI's additional 60/80 bp reductions. Q1 FY27 results were published after 3 July and are not internship observations; they are unaudited and limited-reviewed, not audited.

Metric	FY24 report: FY24	FY26 chart: FY24	FY25 report: FY25	FY26 chart: FY25
Yield	16.2%	16.7%	17.4%	17.1%
Cost of borrowings	8.8%	8.6%	9.2%	9.0%
Spread	7.4%	8.1%	8.1%	8.2%
AUM / PAT	Consistent across reports	Same chart series	Consistent across reports	Same chart series

Differences may reflect definition, methodology or reclassification; supplied reports do not fully reconcile them. Q1 FY27 figures are separately labelled post-internship context.

Source: FY24 Annual Report, supplied PDF p.13; FY25 Annual Report, p.12; FY26 Annual Report, pp.14–15; RBI FSR, June 2026, paras. 2.64–2.68.

APPENDIX A

Data Dictionary for Monthly Risk Reporting

Use one approved definition for each field and record the source system, owner, population, frequency, cut-off, unit and validation. The names below are a generic template, not Fedfina field names. Company MIS and the current policy take precedence.

Field	Definition to confirm	Control
AUM	On-/off-book scope; reporting date; product mapping	Reconcile to source and disclose basis
Presentment	Valid first/retry debit population	Unique instalment / attempt key
Bounce	Return event and reason-code mapping	Separate technical and customer causes
DPD	Days past due at an approved cut-off	Reconcile to loan-servicing system
Cure	Account returning to defined current state	Specify observation window
EWS alert	Approved signal, rule version and population	Retain version and validation outcome
Policy trigger	Approved floor/ceiling and direction	Policy clause, version and effective date

Never compare two metrics until their definitions and populations match.

APPENDIX B

Monthly Graph Catalogue

The monthly graph pack should be compact but broad enough to reveal risk migration. A graph is complete only when its period, unit, numerator/denominator, population, source, owner and any restatement are visible. Use stable scales and annotate policy changes and portfolio exits. The optional EWS row below applies only if the supervisor confirms that the internship phrase “ever graphs” meant EWS.

Graph / view	Recommended cut	Companion metric
AUM and disbursements	Product, vintage, geography, channel	Delinquency and capital use
DPD / Stage migration	Product, vintage, branch	Cure, write-off and ECL
Bounce	Cause, mandate, product, due cycle	Subsequent DPD and cure
Collections	Due vs received, channel, agency	Cost-to-collect and complaints
Funding / ALM	Maturity, lender, currency, reset	Liquidity buffer and EaR
Operations / conduct	Incident, complaint, branch, ageing	Loss, repeat issue and closure
Optional EWS (only if confirmed)	Signal count/exposure, vintage and age	Validation, cure and false positives

Appendix B is a generic analytical catalogue, not a claim that all graphs were assigned or prepared during the internship.

APPENDIX C

Optional EWS Register and Validation Template (If Confirmed)

Use this blank template only if the internship supervisor confirms that “ever graphs” meant Early Warning Signals. Otherwise, substitute the correct category. A signal should be validated before being treated as an effective rule; review both accounts that triggered and those that did not, use an approved outcome window, and record definition changes.

Optional EWS field	Entry / control
Signal name / rule version	[Insert approved label and version]
Population / source / frequency	[Define eligible accounts and system]
Threshold / direction / effective date	[Use only approved policy/model authority]
Alerts / exposure / age	[Month-end count and amount]
Confirmed deterioration / cure	[Outcome window and approved definition]
False positives / missed events	[Validation sample and outcome]
Owner / action / due date	[Accountable owner and closure evidence]

No EWS threshold or actual alert data is supplied. Do not paste customer identifiers into an academic report or unsecured personal file.

APPENDIX D

Monthly Risk-Paper Template

A risk paper should separate the executive conclusion from detailed backup. The summary should make the quarter/month movement, material exceptions, customer impact and decision request clear without requiring the reader to reconstruct every chart. Use an appendix for definitions and large data tables.

Page / section	Content prompt
1. Executive summary	Three material movements; decisions required; red/amber items
2. Portfolio	AUM/disbursal, product/vintage quality, concentration
3. Credit / collections	DPD, bounce, cure, recovery, ECL; optional EWS only if confirmed
4. ALM / capital / market	Maturity, liquidity, repricing, sensitivity, capital
5. Non-financial risk	Fraud, cyber, operational, compliance, conduct
6. Actions	Owner, due date, status, evidence, escalation

Attach source and metric definitions to every chart.

APPENDIX E

Quarterly RMC Pack Agenda

The agenda below maps the disclosed FY26 RMC terms of reference to a practical quarterly sequence. The committee secretary and authorised risk owner should confirm the current terms, materiality and required papers. The annual report's public terms do not replace the internal agenda or policy.

Agenda item	Review question	Evidence / decision
Risk appetite / policy	Any breach, near miss or policy change?	Limit register; approval / escalation
Portfolio / NPA	Which product, vintage or region changed?	AUM, DPD, ECL, cure and actions
Liquidity / ALM	Any gap, funding or stress concern?	Bucket report, stress and contingency
Operational / cyber / BCP	Any material incident or resilience weakness?	Loss log, test result, remediation
Customer / compliance	Any conduct, grievance or regulatory issue?	Impact, ageing and corrective action
Prior actions	What is overdue or repeatedly reopened?	Owner, evidence and closure decision

Source: FY26 Annual Report, supplied PDF p.53.

APPENDIX F

Policy Trigger-versus-Actual Register

Populate this register from the current approved risk policy and authorised month-end data only. Select direction carefully: for a maximum limit, actual above the threshold may be a breach; for a minimum floor, actual below the threshold may be a breach. Tolerance, duration and escalation must follow the approved policy.

Metric / policy clause	Limit / direction	Actual / date	Status / headroom	Owner / action
[Metric 1]	[Approved value; MAX/MIN]	[Value; date]	[Within / near / breach]	[Owner; due date]
[Metric 2]	[Approved value; MAX/MIN]	[Value; date]	[Within / near / breach]	[Owner; due date]
[Metric 3]	[Approved value; MAX/MIN]	[Value; date]	[Within / near / breach]	[Owner; due date]

No actual internal limit is provided in this report. Leave blank until authorised source data is available.

APPENDIX G

Bounce-Analysis Data Template and Formulas

Use one row per reporting month and product/segment. If this template is populated with authorised data, validate the formulas, ensure that retry attempts are counted consistently, and use a unique instalment key to prevent duplication. Rates below are undefined where the denominator is zero; blank input must not be interpreted as zero performance.

- Add return code, first/retry flag, cure window, next DPD and complaint flag.
- Reconcile totals to bank/mandate and servicing-system control reports.
- No actual Fedfina bounce rate is reported in this report.

Month / segment	Valid presentments	Bounced	Presented ₹	Returned ₹	Count rate	Amount rate
[Month / product]	[n]	[n]	[₹]	[₹]	Bounced ÷ valid	Returned ÷ presented
[Month / product]	[n]	[n]	[₹]	[₹]	[Formula]	[Formula]
[Month / product]	[n]	[n]	[₹]	[₹]	[Formula]	[Formula]

APPENDIX H

Five-Year Company-Reported Trend Series

The series below reproduces the FY26 annual-report five-year charts. Monetary AUM values originally labelled ₹ million are converted to ₹ crore. The FY26 report's chart order has been visually checked against the PDF. Ratios are reproduced as reported, not recalculated from financial statements; selected values may differ from older report editions as noted on p.89.

Metric	FY22	FY23	FY24	FY25	FY26
AUM (₹ Cr)	6,187.2	9,069.6	12,191.9	15,811.5	20,153.0
PAT (₹ Cr)	103.5	180.1	244.7	225.2	343.6
Yield (%)	16.0	16.1	16.7	17.1	16.7
Spread (%)	8.2	8.3	8.1	8.2	8.6
Cost of borrowings (%)	7.8	7.8	8.6	9.0	8.1
Cost-to-income (%)	58.4	58.6	58.2	57.6	57.2
ROA (%)	1.7	2.3	2.4	1.8	2.4
ROE (%)	10.4	14.4	13.5	9.4	12.6
GNPA / NNPA (%)	2.2 / 1.8	2.0 / 1.6	1.7 / 1.3	2.0 / 1.2	1.9 / 1.3
CRAR (%)	23.0	17.9	23.5	21.9	22.4
Provision coverage (%)	22.1	22.2	20.4	40.0	32.3
Book value per share (₹)	35.9	42.1	61.2	68.3	78.2

Ratios are chart-reported and rounded; AUM/PAT values are converted from ₹ million. See p.89 for differences between report editions.

Source: FY26 Annual Report, supplied PDF pp.14-15 (printed report pp.22-25).

APPENDIX I

FY26 Risk-Disclosure Reference Log

This log links analytical claims to source locations. It is not a completeness opinion: annual reports include further accounting notes, audit material and statutory disclosures. Consult the original source before citing a number or making a policy decision. RBI and post-internship Q1 sources are kept separate from FY26 company facts.

Topic	Disclosed fact used	Source
FY26 snapshot / products	AUM, secured mix, NPA, PAT, Gold/ST/MT LAP	FY26 PDF pp.4, 8-9, 13
Five-year trends	AUM, PAT, pricing, quality, CRAR, returns	FY26 PDF pp.14-15
RMC governance	Terms of reference and five FY26 meeting dates	FY26 PDF p.53
Maturity analysis	Assets/liabilities by within/after-one-year bucket	FY26 PDF pp.114-115
Credit / ECL	EAD, PD, LGD, stages, SICR and collateral table	FY26 PDF pp.116-117
Rate / FX	25 bp sensitivity, ALCO and hedge narrative	FY26 PDF p.118
NBFC sector / stress	Credit growth and hypothetical credit/liquidity scenarios	RBI FSR June 2026, paras. 2.55-2.68
Gold collateral regulation	Applicability, consumption LTV and ongoing requirements	RBI Directions 2025, paras. 4-5, 8, 17-20
Q1 FY27 results	Unaudited results, ratios, assignment transfer	Filed 15 Jul 2026; post-internship
Q1 FY27 commentary	AUM/product update, Stage 2 and management explanations	Call transcript 15 Jul 2026; post-internship

Earlier-report map: FY24 PDF pp.13-14, 24, 31; FY25 PDF pp.12-13, 33. RBI scenarios are not Fedfina forecasts.

APPENDIX J

Stress-Test Design Sheet

The scenario matrix below remains unpopulated for Fedfina. Risk, Finance and business owners should approve shock sizes, horizons, correlations, management actions and model assumptions before calculation. A deterministic scenario is not a probability forecast.

The RBI NBFC-sector scenario already reported on p.60 is external published evidence, not an input or output for this company matrix. Do not copy RBI sample values into company stress cells or present them as Fedfina forecasts.

Risk factor	Base assumption	Adverse shock	Severe shock	Output
Gold price / LTV	[Approved]	[Approved]	[Approved]	Margin, loss, cure
Mortgage recovery	[Approved]	[Haircut / time]	[Haircut / time]	LGD / ECL
Bounce / delinquency	[Approved]	[Rate / roll]	[Rate / roll]	Collections / Stage / PAT
Funding cost / maturity	[Approved]	[bp / closure]	[bp / closure]	NII / liquidity / CRAR
Branch / system disruption	[Approved]	[Duration]	[Duration]	Service / cash / loss

All company scenario cells are placeholders. No Fedfina forecast, probability or internal risk appetite is supplied in this report.

APPENDIX K

Submission Checklist and Viva Questions

Before submitting, verify the title, student name, programme, roll number, internship dates, guide details, signatures and authentic employer documentation. Check that the Word and PDF render as 100 pages and that every citation opens to the correct source. Confirm the phrase “Graphs & ever Graphs” with the supervisor; replace provisional EWS wording only if confirmed.

Q1 FY27 results were published 15 July, after the 3 July internship end, and must remain post-internship context. RBI NBFC stress results are sector-level hypotheticals, not Fedfina outcomes. Do not convert blank templates into internship evidence or insert internal data without authorisation.

- Why does secured AUM not eliminate borrower, collateral and operational risk?
- How are GNPA, NNPA, credit cost and ECL different?
- Why is a payment bounce not automatically an NPA?
- What does the negative FY26 after-one-year net maturity gap imply—and not imply?
- Why do older annual reports differ from the FY26 historical yield/cost series?
- How would you prove a policy-trigger breach and its closure from authorised sources?
- How do you distinguish RBI sector stress scenarios from Fedfina actuals?
- How do you label Q1 FY27 data published after the internship?
- What controls make a quarterly RMC pack decision-useful?

Report prepared 4 October 2026. Company primary focus: FY2025–26; Q1 FY27: post-internship context only.